

2009 SCC OnLine All 1064

In the High Court of Allahabad
(BEFORE SUNIL AMBWANI AND RAN VIJAI SINGH, JJ.)

Civil Misc. Writ Petition No. 27290 of 2008

Raman Ispat (Pvt.) Ltd. & Anr.

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Ors.

With

Civil Misc. Writ Petition No. 16147 of 2009

M/s Raman Ispat (Pvt.) Ltd.

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

And

Civil Misc. Writ Petition No. 16149 of 2009

Ram Pal Singh

Versus

Pashchimanchal Vidyut Vitran Nigam Ltd. & Anr.

Civil Misc. Writ Petition No. 27290 of 2008; Civil Misc. Writ Petition
No. 16147 of 2009; and Civil Misc. Writ Petition No. 16149 of 2009

Decided on September 4, 2009

Advocates who appeared in this case:

Shri B.C. Rai, learned counsel for the petitioners in all the writ
petitions.

Shri Pankaj Kumar Shukla appears for the Pashchimanchal Vidyut
Vitran Nigam Ltd. & Anr.

Heard Shri B.C. Rai, learned counsel for the petitioners in all the writ
petitions. Shri Pankaj Kumar Shukla appears for the Pashchimanchal
Vidyut Vitran Nigam Ltd. & Anr. (PVVNL), the successor of U.P. State
Electricity Board and U.P. Power Corporation Ltd.

M/s Raman Ispat (P) Ltd., a private limited company registered
under the Companies Act, 1956 filed the Writ Petition No. 27290 of
2008 with a prayer to restrain the Executive Engineer, Electricity Urban
Distribution Division-1, PVVNL, Muzaffar Nagar from disconnecting the
power supply of the petitioner company (service connection No. LP-38)
on account of the demand of arrears of electricity charges, outstanding
against Singh Alloys (P) Ltd. and further to restrain the Executive
Engineer-respondent No. 2 from encashing cheque No. 501910 dated
31.5.2008 amounting to Rs. 50,34,016/- drawn on HDFC Bank,

Muzaffar Nagar. By the second prayer the petitioner sought information from the Executive Engineer-respondent No. 2 to provide details under which by the order dated 26.5.2008 the petitioner company was forced to submit the cheque of Rs. 5034016/- against electricity charges due to Singh Alloys Pvt. Ltd.

On 5.6.2008 learned Single Judge hearing the matter in vacations, passed an order restraining the respondents from encashing the cheque and further restraining it from disconnecting the electricity connection of the petitioner for non payment of any outstanding arrears of electricity charges against Sai Steel Industries (a unit of Singh Alloys (P) Ltd.) through its Director Mohd. Ahsan son of Mohd. Meharban resident of 29, Jassi Pura, Ghaziabad.

In Writ Petition No. 16149 of 2009 filed on 23rd March, 2009 Shri Ram Pal Singh (R.P. Singh) son of late Shri Nawab Singh resident of 65 -D, New Mandi, District Muzaffarnagar has prayed for directions to quash the order dated 09.3.2009 of the Executive Engineer, Electricity Distribution Division (1), Town Hall, Muzaffarnagar rejecting the representation of Raman Ispat Pvt. Ltd. for depositing the bills payable by M/s Singh Alloys Pvt. Ltd., Meerut Road, Muzaffarnagar for its unit M/s Sai Steels, which was liable to pay the electricity dues of Rs. 50.38 lacs. The representation was decided by the Executive Engineer in pursuance to the directions issued by the High Court in Writ Petition No. 6006 of 2009. The petitioner has also prayed for restraining the respondents from making recovery proceedings including any coercive measures against the petitioner towards recovery of electricity dues of M/s Sai Steel. The writ petition was directed to be connected with Writ Petition No. 27290 of 2008 and was thereafter nominated by Hon'ble the Chief Justice to be heard by this Bench.

In Writ Petition No. 16147 of 2009 M/s Raman Ispat (P) Ltd. has prayed for quashing the same order dated 09.3.2009 passed by the Executive Engineer, Electricity Distribution Division (1), Town Hall Muzaffarnagar by which the request of the petitioner not to recover the dues of M/s Singh Alloys Pvt. Ltd. was rejected. The petitioner has further prayed for directions to restrain the respondents from recovering the dues of M/s Sai Steels from the petitioner in any manner including coercive process and also to enhance the load of M/s Raman Ispat Pvt. Ltd., the petitioner from 1825 KVA to 2500 KVA as per the provisions of Clause 4.43(b)(i) of the U.P. Electricity Supply Code, 2005.

In all these three writ petitions M/s Raman Ispat Pvt. Ltd. has in substance prayed for direction that amounts due to be paid by M/s Sai Steels Pvt. Ltd. be not recovered from the petitioner and that the recovery against M/s Sai Steels should not be made a condition precedent for enhancing the load from 1825 KVA to 2500 KVA. The

PVVCL has not accepted the demand on the ground that M/s Raman Ispat Pvt. Ltd. purchased plot No. 1499 M area 0.471 hec. from M/s HM Steels (a partnership firm). Shri R.P. Singh, the Director of M/s Raman Ispat Pvt. Ltd. was a partner of M/s Sai Steels, a partnership firm had entered into agreement with U.P. State Electricity Board (as it then was). The partnership continued without any information of its resolution to the UPSEB/UPCL. Shri R.P. Singh is partner of M/s Sai Steel. Shri R.P. Singh was instrumental in registering the companies M/s Singh Alloys and the partnership firm M/s Sai Steels. He is liable as partner to pay all the dues of M/s Sai Steels as his liability with other partners jointly and severally. M/s Raman Ispat Pvt. Ltd. is thus required to pay old dues before its application for enhancement of load can be considered under Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005.

Shri B.C. Rai, learned counsel for the petitioners in all the writ petitions submits that M/s Sai Steel Industries, a partnership concern had entered into agreement with UPSEB on 28.8.1985 for contracted load of 470 KVA. The agreement was signed by Shri Shiv Kumar Singh, one of the partners of M/s Sai Steels Industries. Shri Shiv Kumar Singh and Shri Ram Pal Singh floated a company in the name and style of M/s Singh Alloys Pvt. Ltd. along with other partners. Shri Ram Pal Singh, the petitioner in Writ Petition No. 16149 of 2009 was one of the Directors of M/s Singh Alloys Pvt. Ltd. Shri Ravi Bansal and Shri Surendra Prakash, partners in M/s Sai Steels retired from partnership on 25.7.1988 on which the partnership continued with Shri Ram Pal Singh-the petitioner in Writ Petition No. 16149 of 2009, Shri Bhim Singh, Shri Shiv Kumar Singh and Shri Rajendra Singh. Shri Ram Pal Singh retired as Director of M/s Sai Steels Pvt. Ltd. on 1.4.1990. A Form 32 was submitted before the Registrar of Companies. Shri Ram Pal Singh along with Shri Bhim Singh, Shri Shiv Kumar Singh and Shri Rajendra Singh, retired from M/s Sai Steels on 1.1.1991 after which the partnership concern continued by the same name taking three partners namely M/s Ahsan, Shri Sakeel Ahmad and Shri Ravindra Sharma. The demand notice was issued on 3.4.2001 against M/s Sai Steels Pvt. Ltd. to be recovered from the petitioner on which Shri Sakeel Ahmad applied on 10.5.2001 on behalf of M/s Sai Steels for permanent disconnection of electricity connection. The electric supply was permanently disconnected on 10.5.2001 and that on 25.8.2001 Shri R.P. Singh made a representation along with documentary proof that he had no concern with the firm/company. Enquiries were made from the Registrar of Companies on which a report was given to the Executive Engineer on 4.10.2001 that Shri R.P. Singh has no concern with M/s Sai Steels, after which the name of Shri R.P. Singh was expunged from the recovery certificate on 19.10.2001.

Shri B.C. Rai states that inspite of expunging the name of the petitioner Shri Ram Pal Singh from the recovery certificate, the Executive Engineer-PVVNL issued recovery certificate on 3.6.2008 to recover the electricity dues from the partners/directors of M/s Sai Steels. The Chief Engineer, PVVNL required the Executive Engineer by letter dated 6.10.2008 to recover the dues only from the partners/directors of the firm/company. Similar letter was also sent by the Superintending Engineer on 21.2.2009. The Executive Engineer, however, insisted upon the recovery of electricity dues of M/s Sai Steels from M/s Raman Ispat Pvt. Ltd. and issued a notice on 19.1.2009 to M/s Raman Ispat Pvt. Ltd. The recovery was assailed in Writ Petition No. 6006 of 2009, filed by M/s Raman Ispat Pvt. Ltd. This Court on 5.2.2009 directed the Executive Engineer to decide his representation on which the impugned order was passed. Shri B.C. Rai further submits that M/s Agrawal Steels was given electricity connection of 2000 KVA by UPSEB under the agreement dated 31.12.1984. By the office memorandum dated 3.11.1989 the Chairman UPSEB Lucknow substituted the name of consumer from "Shri Hukum Chandra Agrawal" proprietor M/s Agrawal Steels Meerut Road, Muzaffarnagar as M/s Raman Ispat Pvt. Ltd., 7th K.M. Stone, Meerut Road, Muzaffarnagar subject to condition (1) the agreement for the above load has not been executed and (2) the orders for sanction of the above load are still valid and in force till date. M/s Raman Ispat Pvt. Ltd. entered into agreement with UPSEB for a contracted load of 1825 KVA. On 05.04.2008 an application was made by M/s Raman Ispat Pvt. Ltd. for enhancement of the contracted load from 1925 KVA to 4325 KVA in the same terms. The PVVNL which has stepped into the shoes of UPSEB, called upon the petitioner to discharge the liabilities of M/s Sai Steels under clause 4.3 (f) to (h) of the U.P. Electricity Supply Code, which provides:-

"(f) Where the applicant has purchased existing property it shall be the duty of the applicant to verify that old owner has paid all dues to the licensee and has obtained no-dues certificate from licensees. In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within two month from the date of application. The application shall processed by licensee on clearing of dues only the new owner.

(g) Where the property has been legally sub-divided, the outstanding dues for the consumption of energy on such premises, if any, shall be divided on pro-rate basis.

(h) A new connection to such sub-divided premises shall be given only after the share of outstanding dues attributed to such sub-divided

premises, is duly paid by the applicant. Licensee shall not refuse connection to an applicant only on the ground that, dues on the other portion(s) of such premises have not been paid, nor shall the licensee shall demand record of last paid bills of other portion(s) from such applicants.”

It is stated that Clause 4.3(f) of the Code has been amended by UP Electricity Reforms Commission w.e.f. 11.8.2006. The amended clause 4.3(f) of the U.P. Electricity Supply Code, 2005 reads as follows:-

“4.3 New Connections-General: (a)

(f)(i) it will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to be pay the outstanding electricity dues/obtain no-dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment. “Outstanding dues” means all dues pending on a premises including late payment surcharge.

(iii) In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no dues certificate, by giving the reference of the connection in said premises. The license shall either intimate the pending dues, if any, on the premises or issue no dues certificate within 30 working days from the date of application.

(iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an agreement with new applicant.

(v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without considered to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

(vii) However the above conditions shall not apply if inconsistent with the provision of any higher court order or an order as a consequence to it.

(viii) The application shall be processed by licensee on clearing of dues.”

It is submitted by Shri B.C. Rai that Raman Ispat Pvt. Ltd. had

clarified by its letter dated 16.2.2005 to the Executive Engineer that on 19.5.1990 M/s Singh Alloys Pvt. Ltd. had entered into agreement in terms whereby the property bearing Khasra No. 1499 was mortgaged as security in favour of PICUP. The company committed defaults on which PICUP initiated proceedings under Section 29 of the State Financial Corporation Act, 1951 and took over the possession of the property. M/s H.M. Steel purchased the property of M/s Singh Alloys Pvt. Ltd. in an open auction held by PICUP. The sale deed was executed in favour of M/s HM Steel by PICUP on 27.11.2002. On 27.9.2007 M/s Raman Ispat, the petitioner purchased a part of property bearing Khasra No. 1499M from the partners of M/s HM Steels, which had purchased it from PICUP. M/s Raman Ispat also purchased the other part of the same plot of Khasra No. 1499 M from Smt. Hajjan Abda on 8.5.2009. She had purchased the property from M/s H.M. Steel. M/s Sai Steel was partnership firm. It had obtained electric connection from UPSEB for running a factory and had no concern with M/s Raman Ispat Pvt. Ltd., which has no interest, much less controlled interest of *Sai Steel*. Relying upon *Isha Marbles v. Bihar State Electricity Board*, (1995) 2 SCC 648 (para 56) and *Ahmedabad Electricity Co. Ltd. v. Gujarat Inns (P) Ltd.*, (2004) SCC 587 that the past electricity dues are not a charge over the property and the property purchased by the auction purchaser, the purchaser shall seek supply of electricity energy, the petitioner applied to increase the load to supply electricity. M/s Raman Ispat (P) Ltd. cannot be now called upon to clear the past arrears as condition precedent to supply. The contract between erstwhile consumer and the Board cannot be enforced on a third party and that fresh connection, though the premises are the same, cannot be subjected to liability to clear the dues incurred by the previous owner in respect of power supply.

Shri B.C. Rai has not challenged the amended clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005, which provides in Clause (IV) as a statutory condition that the outstanding dues will be a charge on the assets of the company, and sub clause (V) providing that where a financial institution has auctioned the property without considering the licensee's charge on the licensee assets, the claims may be lodged with the concerned financial institution with diligent persuasion. It is submitted that the petitioner is subsequent bonafide purchaser for value from the vendee of PICUP and that Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005, which came into force on 11.8.2006 is not applicable to the statutory sale by the U.P. Financial Corporation Act, 1951, prior to the enforcement of the clause.

Shri Pankaj Shukla appearing for PVVNL states that M/s Raman Ispat Pvt. Ltd. was incorporated on 18.9.1989, with Shri R.P. Singh, Shri Bheem Singh, Shri Agrawal and Shri S.P. Singh as its directors. The

site plan of the property demonstrates that the wall of both the companies namely M/s Sai Steels and M/s Raman Ispat Pvt. Ltd. are adjoining each other and are situate on 7th Kms. Stone, Muzaffarnagar. M/s Sai Steels could not pay the electricity dues and was declared a defaulter. With the collusion of the directors and partners of both the firm and the company, the land was sold to M/s Raman Ispat Pvt. Ltd. Shri R.P. Singh, the Managing Director of M/s Raman Ispat Pvt. Ltd. had himself moved an application for enhancement of the load of Raman Ispat Pvt. Ltd., and had clearly mentioned in a letter addressed to the Executive Engineer, Electricity Distribution Division-1, Town Hall, Muzaffarnagar that there are only two directors in the company namely Shri R.B. Singh and Shri Virendra Verma. He had supported the application along with a copy of the list of Directors of the company downloaded from the website of the Registrar of Companies on 8th February, 2008 at 1.07 P.M. IST. Shri Pankaj Kumar Shukla submits that the petitioner very cleverly merged M/s Sai Steels (a partnership firm) in M/s Raman Ispat Pvt. Ltd. (a private limited company) and thereafter moved an application for enhancement of the load. The respondents detected the fraud and issued notice to recover the electricity dues of M/s Sai Steels from the petitioner under the amended clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005.

Shri Pankaj Kumar Shukla further submits that M/s Sai Steels never surrendered nor transferred the electricity connection to anyone and that partners of M/s Sai Steels himself entered into agreement for supply of electrical energy. He has relied upon Supreme Court judgment in *Pashchimanchal Vidyut Vitran Nigam Ltd. v. DUS Steels and Alloys Pvt. Ltd.* decided on 7.11.2008 and reported in JT 2008 (12) SC 672. In this judgment it was held that supply of electricity by distributor to a consumer is "sale of goods". A transferee of the premise or a subsequent occupant of the premise with whom the supplier has no previty of contract cannot obviously be asked to pay the dues of his predecessor entitled or possession as the amount payable towards supply of electricity does not constitute a charge on the premise. A predecessor of a premises cannot be foisted with the electricity dues of any previous occupant merely because he happens to be the current owner of the premises. But this legal position does not help a purchaser of a premises. When the purchaser of the premises approaches the distributor seeking fresh electricity connection to its premises for supply of electricity, the distributor can provide for the terms subject to which it would supply electricity. It can stipulate the condition of payment of arrears for supply of electricity made to the premises, when it was in the occupation of the previous owner/occupant. The licensee can stipulate that the past dues be cleared before the electricity supply is restored to the premises, or a fresh connection is provided, or load is

enhanced to the factory on the same premises. Such a stipulation cannot be termed as unreasonable or arbitrary.

We have carefully considered the submissions of the parties, and perused the records. Mr. Hukum Chandra Agrawal, a proprietor of M/s Agrawal Steels entered into agreement for electricity connection with U.P. State Electricity Board on 23rd December, 1984. By office memorandum dated November 3, 1989 the connection was transferred by substituting M/s Raman Ispat Pvt. Ltd. 7 KMS Meerut Road, Muzaffar Nagar as consumer with the condition that the order for sanction of load are still valid and are in force, and an agreement is executed.

M/s Sai Steel (a partnership firm) with Shri Bhim Singh, Shri Shiv Kumar Singh, Shri Rajendra Singh, Shri R.P. Singh was incorporated on 25.7.1989. The firm entered into agreement dated 28.8.1985 for supply of electricity of the contracted load of 470 KVA. The partnership was dissolved on 1.1.1991. It is alleged that a new partnership concern in the same name and style came into existence with three partners namely Mohd. Ahsan, Shakeel Ahmad both sons of Mohd. Meharban and Shri Irfan Ahmad. A new agreement was executed with enhanced load 800 KVA between partnership firm and UPSEB. The firm did not pay the electricity dues and applied for permanent disconnection. The permanent disconnection could be made only after the dues were paid. There is no order to sanction permanent disconnection or payment of past dues available on record. M/s Raman Ispat Pvt. Ltd. was incorporated with Shri R.B. Singh, Shri Bhim Singh, Shri Hukum Chandra Agrawal and Shri S.P. Singh as its directors. The petitioners have not brought on record any arrangement by which M/s Sai Steels had transferred the business to M/s Raman Ispat Pvt. Ltd.

M/s Singh Alloys Pvt. Ltd., a company having industrial activity adjacent to M/s Raman Ispat Pvt. Ltd. had taken financial assistance from PICUP after mortgaging its property. The company committed defaults on which PICUP initiated proceedings under Section 29 of the State Financial Corporation Act, 1951 and took over the possession of the land and sold it in open auction to M/s HM Steels vide sale dated 27.11.2002. M/s Raman Ispat Pvt. Ltd. purchased a part of land from M/s HM Steels and also Smt. Hajjan, who had in turn purchased it from HM Steels. These sale deeds were executed on 27.9.2007 and 8.5.2008 respectively.

The petitioners have failed to prove that there is no relationship between M/s Sai Steels and M/s Raman Ispat Pvt. Ltd. The deed of dissolution of M/s Sai Steels, registration of partnership with new partners has not been brought on record. M/s Singh Alloys Pvt. Ltd. committed defaults on which PICUP took over possession and sold the property to M/s HM Steels on 27.11.2002. M/s Raman Ispat Pvt. Ltd. purchased a part of property from M/s H.M. Steel, and other part from

Smt. Hajjan Abdi, the purchaser of the other part from M/s HM Steel. M/s Raman Ispat Pvt. Ltd. thus became the owner of the entire industrial plot.

In the rejoinder affidavit of Shri Mange Ram (in Writ Petition No. 16147 of 2009) he has annexed the affidavit of Sakeel Ahmad claiming to be the Director of Sai Steels Ltd. (a unit of Singh Alloys) 7th KM Meerut Road, Muzaffarnagar. The affidavit filed with the Executive Engineer, Electricity Distribution Division-1, Muzaffarnagar was sworn by him on 10.5.2001. In this affidavit it is stated by him as Supervisor of the petitioner company that M/s Sai Steels with four partners including Shri R.P. Singh had entered into agreement dated 28.8.1985 for supply of 470 KVA load. The partnership was dissolved on 1.1.1991 with new partners as Mohd. Ahsan, Sakeel Ahmad and Irfan Mohd. and that new partnership concern applied for enhancement of load from 470 KVA to 800 KVA. The new agreement with the new partnership is in the possession of the Executive Engineer, who is duty bound to produce it before the High Court. *Shri Sakeel Ahmad* filed a notary affidavit on 10.5.2001 (supra) and gave cheques issued by the partners of the new partnership, to surrender the electricity connection. The payment of dues of Shri Sakeel Ahmad on behalf of Sai Steel Ltd. to UPSEB is not admitted to the respondents. Shri R.P. Singh claiming himself to be Director of Raman Ispat Pvt. Ltd. had admitted in Writ Petition No. 27290 of 2008 in which he represents Raman Ispat Pvt. Ltd. as one of its Directors (writ petition was filed on 2nd June, 2008) that in the bills of March, 2008 and April 2008 there were arrears of 15% independent feeder charges for which the petitioner had obtained stay orders in Writ Petition No. 39510 of 2002 on 11.8.2005. the writ petition was allowed and the demand of independent feeder charge was quashed. In the same bill there was demand of additional security amount and that under the threat of recovery he was pressed to give a cheque of Rs. 50,34,016/- on 26.5.2008 to the Executive Engineer for alleged outstanding arrears of Sai Steels Industries described as unit of Singh Alloys Pvt. Ltd.

Shri R.P. Singh, the petitioner in Writ Petition No. 16149 of 2009 has very cleverly spun the web of acquisitions and change of the name of the companies, so that the electricity department may not catch him for the dues of M/s Sai Steels for the electricity consumed by the company as raw material to produce steel. He has not challenged the demand, and has rather confined the writ petition to the plea that he is neither a partner in Sai Steels nor a Director in Raman Ispat Pvt. Ltd. purchased from M/s HM Steels Ltd. It appears that for some time he was able to take the electricity department for a ride in proving that he has nothing to do with either of the companies and that demand was sought to be knocked out. The department, however, appears to have

lifted the veil and has found that Shri R.P. Singh is the person behind all these companies and is liable to pay the due of M/s Sai Steels Ltd. Shri Mahesh Chandra, the Executive Engineer, Electricity Distribution Division-I, Town Hall, Muzaffarnagar has rightly observed in the impugned order that at the time of entering into agreement Shri R.P. Singh was the partner of M/s Sai Steels, which was unit of M/s Singh Alloys Pvt. Ltd. M/s Singh Alloys Pvt. Ltd. was sold for defaults committed in repayment to PICUP and was purchased by M/s HM Industries, Shri R.P. Singh purchased the property back from M/s HM Industries and Smt. Hajjan in the name of M/s Raman Ispat Pvt. Ltd. The Executive Engineer has thus rightly dismissed the application for enhancement of rate of Raman Ispat Pvt. Ltd. until the dues of Sai Steels are cleared.

In the sale dated 27.11.2002 annexed as Annex. No. 8 executed between PICUP as vendor and M/s HM Steels, partnership firm with Shri Saeem Ahmad, Mohd. Adil and Shri Jakaulah as partners, the description of the land is given in the schedule as follows:-

“Sale deed executed on 11.12.89 by Sri Rampal Singh S/o Sri Nawab Singh R/o 65-B Nai Mandi Muzaffar Nagar a partner of M/s Sai Steel Industries, Meerut Road, Muzaffar Nagar (seller) in favour of M/s Singh Alloys Pvt. Ltd. Meerut Road, Muzaffar Nagar having its registered office at 70/1, Kambal Wala Bagh Muzaffar Nagar (Purchaser) in respect of plot of land Khasra No. 1499 m. admeasuring 2 Bigha 6 Biswa (0.471 Hec.t) located at village Jaroda, Pargana Tehsil and District Muzaffar Nagar. The sale deed is duly registered in the office of Sub-Registrar Muzaffar Nagar in Bahi No. 1 Khand 15 at page 55/70 at Sl. No. 8047 on 11.12.89.”

The same land was purchased by Raman Ispat Pvt. Ltd. with Shri R.P. Singh as Director of the company.

In the sale deed between M/s HM Steels and Raman Ispat Pvt. Ltd. dated 10.9.2007, there is a recital that M/s HM Steels, Murad Nagar has demolished the plant and machinery and has sold the same to a third party and that land is vacant on the spot. The sale deed executed by Smt. Hajjan Abada in favour of Raman Ispat Pvt. Ltd. described the property to be an open land with 7' wide boundary wall and covered area of only 14 sq. mtrs. on which a room is constructed. The reasons for which the petitioner wanted the load sanctioned to be enhanced from 1825 KVA to 4325 KVA is not clear from the records. If Sai Steels Industries was closed and was allowed permanent disconnection of electricity supply and that plant and machinery of Raman Ispat Pvt. Ltd. have been removed, there could be no reason for enhancement of sanctioned load to M/s Raman Ispat Pvt. Ltd. from 1825 KVA to 4325 KVA.

Shri R.P. Singh is the man behind the entire scheme. He had

accepted the liability and paid the cheque and thereafter obtained an interim order from this Court, in summer vacations on 5.6.2008 by withholding the facts and painting a false picture. The petitioners have thus not come to the Court with clean hands and are not entitled to any relief.

All the three writ petitions are dismissed with costs.

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2023 SCC OnLine NCLT 11590

In the National Company Law Tribunal[±]
(BEFORE PRAVEEN GUPTA, MEMBER (JUDICIAL) AND ASHISH VERMA, MEMBER
(TECHNICAL))

Trimurti Concast Pvt. Ltd. Through Its director Sh.
Satish Chand Goel ... Applicant;

Versus

Paschimanchal Vidyut Vitran Nigam Limited ...
Respondent.

IA No. 409/2022 in CP(IB) No. 355/ALD/2019[±]

Decided on February 23, 2023, [Order reserved on 24.01.2023]

Advocates who appeared in this case :

Sh. Mukesh Singh Bhadauria, PCMA.: for the Applicant

Sh. Pranjal Mehrotra, Adv.: for the Respondent

ORDER

1. The present IA has been filed by Trimurti Concast Pvt. Ltd. the Applicant/Corporate Debtor, through its Director Sh. Satish Chand Goel, under Section 60(5) of the Insolvency And Bankruptcy Code, 2016 (I & B Code, 2016), read with Rule 11 of the NCLT Rules, 2016 on account of the contravention in terms of the provisions of Section 74(3) with regard to Resolution Plan approved by this Tribunal vide order dated 22.03.2022. Mr. Satish Chand Goel through whom this petition is filed by the Corporate Debtor, is newly appointed Director after its management was taken over by the Successful Resolution Applicant (SRA) i.e. Shree Shailja Iron and Steel Ltd. as per order dated 22.03.2022 by this Tribunal and suspended Ex-Directors of the Corporate Debtor during pre-Corporate Insolvency Resolution Process (CIRP) had been discharged from their duties towards the Applicant i.e. Corporate Debtor. The Applicant herein is seeking direction upon Respondent i.e. Paschimanchal Vidyut Vitran Nigam Limited (PVVNL) (Power Supplying Company) to grant new electricity connection and supply of electric energy at the office and plant of the Applicant.

2. This Tribunal vide its order dated 24.12.2019 admitted the Section 7 Application and initiated Corporate Insolvency Resolution Process against the Corporate Debtor, namely Trimurti Concast Private Limited. Subsequently this tribunal Vide order dated 22.03.2022 approved the Resolution Plan submitted by the SRA. for the revival of the Applicant/Corporate Debtor.

3. After management of the Corporate Debtor had been taken over by SRA as per the terms of Resolution Plan vide this tribunal order dated. 22.03.2022, the Applicant i.e. Corporate Debtor under new management applied to the Respondent Electricity Supplying Company to provide a new electricity connection for the revival of the business operations of the Corporate Debtor by running its office and plant but the application was rejected by the Executive Engineer of the Electricity Supplying Company citing pending electricity dues in respect of previous connection on the premise of the Corporate Debtor and showing complete disregard to the approved Resolution Plan vide this Tribunal order dated 22.03.2022 which is punishable u/s. 74(3) of I & B Code, 2016. In view of the Corporate Debtor being unable to run the business as going concern in terms of Resolution Plan approved vide order date 22.03.2022, it moved this IA before us with prayer to issue direction to the Respondent immediately to consider the application for electricity connection and take immediate steps to provide the electricity connections to the premises of the Corporate Debtor. Following turn of events have been discussed in the present IA leading to filling of this IA before us.

(i) Earlier, the Respondent in this petition has also filed an IA before this Tribunal vide IA No. 42/ALD/2022 wherein respondent were seeking consideration of its claim of Rs. 10,28,06,759/- pertaining to electricity dues whereby this tribunal vide order dated 22.03.2022 directed the erstwhile RP to consider the said claim of the Respondent with other operational Creditors for whom the Resolution Applicant has made specific provisions in the Resolution Plan. The relevant portion of the said order of this tribunal is enumerated as under:

“3. we hold that since there being no fault on the part of the applicant herein, the claim of electricity dues as prayed in the relief sought, be considered before the approval of the resolution plan by this Adjudicating Authority.

4. Accordingly, we hold that the claim of the applicant be considered along with other operational Creditor for whom the Resolution Applicant has made specific provisions in the resolution plan.”

(ii) In compliance of the order of this Tribunal dated 22.03.2022, the Successful Resolution Applicant namely Shree Shailja Iron and Steel Pvt. Ltd. has considered the claim of the Respondent and paid an amount pertaining to electricity dues of Rs. 6,62,848.00 by way of demand draft bearing No. 134242787 dated 18.06.2022 along with latter dated 06.07.2022 which was received by the office of the Respondent.

(iii) Subsequently, Board of Directors of Trimurti Concast Pvt. Ltd.

(Applicant herein) passed the resolution dated 24.06.2022, whereby it was resolved that the Applicant will apply for obtaining a new electricity connection from the Paschimanchal Vidyut Vitran Nigam Ltd. (Respondent herein) for the purpose to restart the manufacturing activities in the premise of the Corporate Debtor office situated at Power House Road. Meerut Road, Sajru Near 66 kva Power House, Muzzafarnagar, and accordingly, the Applicant filed application before the Respondent i.e. (PVVNL) for getting fresh electricity connection.

- (iv) Thereafter, the Applicant sent letter dated 31.08.2022, 13.09.2022, 21.09.2022 respectively, to the Respondents seeking the status of application, which was applied by the applicant for getting new electricity connection. The Respondent with reference to the letter dated 21.09.2022 which was sent by the Applicant, informed the Applicant that request for new electricity connection is rejected on account that there is pending dues in respect of previous connection.
- (v) It is also mentioned in the present IA that the Respondent misinterpreted its departmental circular guidelines wherein it has been directed that in the event of orders of the competent authority or Tribunal for the transfer of company to new management, the past dues can only be recovered from the previous management or previous directors whereas the Respondent has continued penalising the Applicant in some or other way. Further, this departmental circular guidelines are found to have been issued vide letter dated 11.01.2018 by the Managing Director of Uttar Pradesh Power Corporation limited. (UPPCL) to all Electricity supplying Corporation wherein above mentioned direction has been found to be issued.
- (vi) The Applicant pointed out the act of the Respondent is in blatant violation of the Insolvency and Bankruptcy Code, 2016 and is putting obstacles in the effective implementation of the Resolution Plan approved by this tribunal and the Respondent who are well aware about the order dated 22.03.2022 passed by this Tribunal approving the Resolution Plan which was intimated to the Respondent and despite having the knowledge of the said order, the Respondent have acted in a manner which has literally put the revival of the company to the standstill.
- (vii) The Applicant also emphasised that the claim of the Respondent towards the Corporate Debtor stands settled as per the approval of the Resolution Plan and the Resolution plan which was approved by this tribunal is binding on the Respondents. In view of the judgment of in the case of *Ghanshyam Mishra & Sons Pvt. Ltd. v. Edelweiss Asset Reconstruction Company Ltd.*, where

the Hon'ble Supreme Court in para 95(i) held that once a Resolution plan is approved, a creditor cannot initiate proceedings for recovery of claims which are not part of the Resolution Plan. Therefore, all claims except provided in the plan shall stand permanently extinguished.

4. Contentions raised by the Applicant i.e. Corporate Debtor as discussed in previous para have been countered by the Respondent in reply filed on 22.01.2022 submitting, interalia, as under:—

- (i) Following provisions of Section 173 and Section 174 of the Electricity Act, 2003 have been cited and the reference of Section 180 of the Electricity Act, 2003 have been made under which the U.P. State Government had made the U.P. Electricity Code, 2005, which was made applicable to all the Distribution Licensee in their respective licensed areas in the State of Uttar Pradesh. These provisions are as under:—

“Section 173. (Inconsistency in laws):

Nothing contained in this Act or any rule or regulation made thereunder or any instrument having effect by virtue of this Act, rule or regulation shall have effect in so far as it is inconsistent with any other provisions of the Consumer Protection Act, 1986 or the Atomic Energy Act, 1962 or the Railways Act, 1989.

Section 174. (Act to have overriding effect):

Save as otherwise provided in section 173, the provisions of this Act shall have effect notwithstanding anything inconsistent there with contained in any other law for the time being in force or in any instrument having effect by virtue of any law other than this Act.

- (ii) Thereafter, Clause 4.3(f) of the U.P. Electricity Supply Code, 2005 (Conditions for new Connection of the electricity) is referred for our consideration as reproduced below:—

(i) *“f) 3 It will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No dues certificate.*

(ii) *Before sale of a premise is made, the outstanding dues will be cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment. “Outstanding dues” means all dues pending on a premises including late payment surcharge.*

(iii) *In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate, by giving the reference of the connection in said premises. The licensee shall either*

intimate the pending dues, if any, on the premises or issue no dues certificate within 30 working days from the date of application.

- (iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an agreement with new applicant.*
- (v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without consideration to licensee's charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.*
- (vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.*
- (vii) However the above conditions shall not apply if inconsistent with the provisions of any higher court order or an order as a consequence to it.*
- (viii) The application shall be processed by licensee on clearing of dues.*
- (iii) After referring to above clause, following requirement have been emphasised to be fulfilled before providing any electricity connection.
 - a. That it is respectfully submitted that from a perusal of the above quoted Clause 4.3(f)(i) of the U.P. Electricity Supply Code, 2005, it is apparent that it will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No dues certificate.
 - b. That it is respectfully submitted that from a perusal of the above quoted Clause 4.3(f)(viii) of the U.P. Electricity Supply Code, 2005, it is apparent that the application for New Connection will be processed by the Respondent (Paschimanchal Vidyut Vitran Nigam Limited) only on clearance of the electricity dues.
 - c. That it is further respectfully submitted that from a perusal of the above quoted Clause 4.3(f)(iv) of the U.P. Electricity Supply Code, 2005, it is apparent that the outstanding electricity dues will be first charge on the assets of the Company, and the licensee shall ensure that this is entered in

an agreement with new applicant.

- (iv) It is further submitted that the Respondent entered into an agreement with Corporate Debtor dated 08.04.2013 for supply of electrical energy and in the said agreement, it was agreed between the parties that the Respondent was/is the first charge on the assets of the company, and the same had to be cleared firstly. The relevant portion of the said agreement reproduced as under:

“The Outstanding dues will be a charge on the assets of the company. Before sale is made, the outstanding dues will be cleared and, the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment.”

- (v) It is averred that the Respondent had filed claim of Rs. 9,24,08,314/- pertaining to electricity dues out of which the Resolution Professional admitted only Rs. 6,62,848/- of Respondent and it is submitted by the Respondent that unless and until the remaining outstanding electricity dues are cleared, the application filed by the Applicant for a new connection of electricity cannot be accepted in terms of the clause 4.3(f)(viii) of the U.P. Electricity Supply Code, 2005.

- (vi) The respondent submitted the Judgment dated 12.01.2023 passed by Division Bench of Hon'ble High Court of Allahabad in WRIT-C No. 26355 of 2022 in *Narendra Singh Panwar v. Paschimanchal Vidyut Nigam Limited*. Reproduced as under;—

“18. Sri Pranjali Mehrotra learned counsel for the Corporation namely respondent nos. 1 and 3 herein, on the other hand, would submit that Clause 4.3(f) and Clause 6.15 of the Electricity Supply Code, 2005 clearly empower the electricity department to issue recovery proceeding against the Directors of the Company and payment due to the licensee Company can be recovered as arrears of land revenue as per the provisions of the U.P. Government Electrical Undertakings (Dues and Recovery) Act, 1958, in accordance with the Clause 6.15 of the Electricity Supply Code, 2005.

19. Placing Annexure-‘1’ to the counter affidavit filed on behalf of the respondent nos. 1 and 2, it was submitted that out of total outstanding dues of the Corporation against the defaulter company to I the tune of Rs. 9 crores and odd, any an amount of Rs. 6,62,848/- has been directed to be distributed as per the approved resolution plan, under the order dated 22.03.2022 passed by the NCLT, Allahabad.

20. A copy of the letter dated 11.01.2018 of the Managing Director of the U.P. Power Corporation Ltd. has been placed before us to assert that the direction has been issued to Managing Directors of all the Discoms. to recover dues of electricity from the

Director/owner of the defaulter company. It is vehemently argued that Clause 4.3f(v) clearly provides that the Directors of the company shall be liable for the electricity dues of the company.

21. In addition to the above, it was further argued that the defaulter company had entered into an agreement dated 08.04.2013 with the licensee, wherein one of its Director namely Sri Ashok Kumar is the signatory. The copy of the application form for supply of electricity along with the agreement executed with the defaulter company Trimuti Concast Pvt. Ltd. dated 08.04.2013 has been supplied to the Court to demonstrate that the guarantee for payment of dues, had been given by the signatory Director namely Ashok Sharma in his affidavit filed along with the application form.

29. It is the stand of the respondents Corporation that one of the Directors of the defaulter company namely Sri Ashok Sharma, at the time of submitting the application form for supply of electricity filed his affidavit along with the application form to undertake that whatever be the dues of the Company, he would always be ready and bound to deposit the same in accordance with the orders of the Executive Engineer, U.P. Power Corporation Ltd. The copy of the notary affidavit filed along with the application form signed by Sri Ashok Sharma as the director of the defaulter company namely Trimurti Concast Pvt. Ltd. contains the following statements:—

3. यह कि शपतकर्ता की उपरोक्त फर्म पर कोई विवाद न्यायालय में नहीं है तथा उक्त फर्म पर जो भी बकाया है वह श्रीमान जी के आदेशानुसार जमा करने के लिए तैयार व बाध्य रहूँगा ।

4. यह कि शपतकर्ता उपरोक्त कनेक्शन का स्वीकृत भार पर ही प्रयोग करेगा स्वीकृत भार से उपर कनेक्शन प्रयोग करते पाए जाने पर विभाग को शपतकर्ता से अतिरिक्त राजस्व वसूली करने का अधिकार होगा।

30. The agreement for supply of electrical energy dated 08.04.2013 has been signed by Sri Ashok Sharma as Director of Trimurti Concast Pvt. Ltd. as the 'Consumer'.

38. It was, thus, held therein that the object of the Code is not to allow personal guarantors such as Directors who are in management of the companies to escape from an independent and coexistent liability to pay off the entire outstanding debt. The decision in Sanjeev Shriya v. S.B.I. (2017) 9 ADJ 723 wherein moratorium was applied to enforcement of guarantee against personal guarantor to the debt, has been overruled.

45. In view of the above discussions, it is clear that approval of a

resolution plan does not ipso factor absolve the surety/guarantor of his or her liability, which arises out of an independent contract of guarantee. To what extent, the liability of a guarantor can be pressed into service would depend on the 22 terms of the guarantee/contract, itself

49. In view of the above discussion, the challenge to the demand notice for dues of electricity, issued jointly in the name of the Directors of the Corporate Debtor, the defaulter company which went into insolvency cannot be sustained on the ground that in view of the acceptance of the resolution plan under Section 31 of the Code, all liabilities of the Directors, who may be the guarantor, stood automatically discharged/extinguished."

(vii) After discussing the above provisions of the Electricity Act, 2003 and U.P. Electricity Code 2005, and citing the above judgment of the Allahabad High Court, it is finally contended in the reply of the respondent that the present application filed on behalf of the Appellant lacks merits, and the same is liable to be dismissed.

5. We have heard the Ld. Counsel for the parties and perused the record carefully relating to the averments made in the petition as well as in the counter affidavit as briefly discussed in aforesaid paras. The undisputed facts in this case are that the Applicant/Corporate Debtor is now under a new management who acquired it under a Resolution Plan of I&B Code, 2016 vide order dated 22.03.2022 of this Tribunal and now, the old management of Suspended Ex-Directors have no control over the Corporate Debtor. The application for new electricity connection has been made by the new management of the Applicant/Corporate Debtor and it has no connection with the electricity dues of Pre-CIRP period when the Corporate Debtor was in the hand of old management of Suspended Ex-Directors. The respondent electricity supplying company has rejected the application of the Applicant/Corporate Debtor seeking new electricity connection on account of pending outstanding dues of electricity on the premises of the Corporate Debtor.

6. The Respondent in his counter affidavit has relied on the provisions of clause 4.3(f) of Electricity Supply Code, 2005 r/w. Section 180 of the Electricity Act, 2003 to emphasise his point of view that a new connection of electricity on the premises on which outstanding dues are pending, cannot be provided unless and until such outstanding dues are paid as per these provisions. Therefore, it is submitted that the new connection in this case cannot be provided till the full payment of outstanding dues on the said premises is made. In support of this contention, the respondent has also placed reliance on a judgment of the Hon'ble Allahabad High Court delivered vide order

dated 12.01.2023 in WR-C No. 26355 of 2022 in the case of *Narendra Singh Panwar v. Pashimanthal Vidyut Vitran Nigam Limited* The operative part of this judgment is already discussed in para 4(vi) of this order. We have perused this judgment and find that reliance of the respondent on this judgment is misplaced. In this case, recovery notice for payment of outstanding dues of electricity was issued to Ex-Directors of the Corporate Debtor under consideration in this application and they challenged this recovery notice taking the plea that a Resolution Plan in the case of the Corporate Debtor has already been passed, and therefore, such recovery cannot be made as all such claims are now extinguished. On this writ petition filed by the Ex-Directors of the Corporate Debtor, it has been held by the Hon'ble Allahabad High Court that the object of the code is not to allow personal guarantors such as Directors who are in management of the companies to escape from an independent and co-existent liability to pay off the entire outstanding debt and therefore, it is further held that approval of a Resolution Plan does not ipso facto absolve the surety/guarantor of his or her liability, which arises out of an independent contract of guarantee. Having decided above, the Hon'ble High Court finally held that the challenge to the demand notice for dues of electricity, issued jointly in the name of the Directors of the Corporate Debtor, the defaulter company which went into insolvency cannot be sustained on the ground that in view of the acceptance of the Resolution Plan under Section 31 of the Code, all liabilities of Directors who may be the guarantor, stood automatically discharged/extinguished.

7. From the above decision, it is very clear that the Hon'ble Allahabad High Court has only held about the enforceability of liabilities of the Directors of Corporate Debtor who were running the said Corporate Debtor during Pre-CIRP period and their liability is in terms of surety/guarantee provided by them in terms of the agreement. However, Corporate Debtor being an independent entity would not be liable to pay any liability of Pre-CIRP period after a Resolution Plan has been approved under Section 31 of the I&B Code. In this regard, the reliance placed by the applicant on the decision of the Hon'ble Supreme Court of India in Civil Appeal No. 8129/2019 dated 13th April, 2021 in the case of *Ghanashyam Mishra and Sons Private Limited through the Authorized Signatory v. Edelweiss Asset Reconstruction Company Limited through the Director* is relevant. The relevant part of the decision of the Hon'ble Apex Court in this regard is as under:—

“95(i) That once a resolution plan is duly approved by the Adjudicating Authority under sub-section (1) of Section 31, the claims as provided in the resolution plan shall stand frozen and will be binding on the Corporate Debtor and its employees, members, creditors, including the Central

Government, any State Government or any local authority, guarantors and other stakeholders. On the date of approval of resolution plan by the Adjudicating Authority, all such claims, which are not a part of resolution plan, shall stand extinguished and no person will be entitled to initiate or continue any proceedings in respect to a claim, which is not part of the resolution plan;.....(Emphasis Supplied)

95(ii) 2019 amendment to Section 31 of the I & B Code is clarificatory and declaratory in nature and therefore will be effective from the date on which I & B Code has come into effect;

95(iii) Consequently all the dues including the statutory dues owed to the Central Government, any State Government or any local authority, if not part of the resolution plan, shall stand extinguished and no proceedings in respect of such dues for the period prior to the date on which the Adjudicating Authority grants its approval under Section 31 could be continued.

8. In fact, such dispute is now settled by insertion of a Section 32 A in the I&B Code with regard to liability for prior offences etc. inserted by the Insolvency and Bankruptcy Code (Management Act, 2020) w.e.f. 28.12.2019. The sub-section (2) of this section very clearly provide as under:

32A.....

(2) No action shall be taken against the property of the corporate debtor in relation to an offence committed prior to the commencement of the corporate insolvency resolution process of the corporate debtor, where such property is covered under a resolution plan approved by the Adjudicating Authority under section 31, which results in the change in control of the corporate debtor to a person, or sale of liquidation assets under the provisions of Chapter III of Part II of this Code to a person, who was not.....(Emphasis Supplied)

- (i) a promoter or in the management or control of the corporate debtor or a related party of such a person; or
- (ii) a person with regard to whom the relevant investigating authority has, on the basis of material in its possession, reason to believe that he had abetted or conspired for the commission of the offence, and has submitted or filed a report or a complaint to the relevant statutory authority or Court.

Explanation.- For the purposes of this sub-section, it is hereby clarified that,-

- (i) an action against the property of the corporate debtor in relation to an offence shall include the attachment, seizure, retention or confiscation of such property under such law as

may be applicable to the corporate debtor;

- (ii) nothing in this sub-section shall be construed to bar an action against the property of any person, other than the corporate debtor or a person who has acquired such property through corporate insolvency resolution process or liquidation process under this Code and fulfils the requirements specified in this section, against whom such an action may be taken under such law as may be applicable.

9. In view of the above decision of the of the Hon'ble Apex Court and provision of Section 32A as discussed above, now no action can be taken against a Corporate Debtor with respect to the property relating to offence committed prior to the commencement of the Corporate Insolvency Resolution Process of the Corporate Debtor which results change in control, by any person including the Central Government, any State Government or any Local Authority etc. Therefore, we hold that the Respondent Electricity Supplying Company is not legally correct in rejecting the application of the Applicant/Corporate Debtor for a new electricity connection on account of outstanding dues pertaining to Pre-CIRP period, hence, the respondent supplying company is directed to consider the application of the Applicant/Corporate Debtor for a new electricity connection and take immediate steps to provide the electricity connections to support the business of the Corporate Debtor immediately as a going concern meeting the objective of I&B Code, 2016. Needless to say that while providing new electricity connection to the Corporate Debtor, the provisions of the Electricity Act, 2003 r/w. U.P. Electricity Supply Code, 2005 otherwise shall be adhered to except recovery of Pre-CIRP dues from the Corporate Debtor.

10. In the result, IA No. 409/2022 is allowed and stands disposed off.

[†] Allahabad Bench, Prayagraj

[‡] (An Application under section 60(5) of the Insolvency and Bankruptcy code, 2016 R/w Rule 11 of the NCLT rules, 2016 on account of contravention in terms of the provisions of Section 74(3) of the Insolvency and Bankruptcy Code, 2016)

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Bihar Electricity Regulatory Commission Bihar Electricity Supply Code, 2007

Chapter 4. New Service Connection

Rule 4-15.

4.15. No Dues Certificate.—(i) It will be the duty of the seller to find out the outstanding electricity dues up to the date of sale, and liable to pay the outstanding electricity dues/obtain no dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will be cleared or alternatively the agreement/sale deed will specifically mention the outstanding dues and the method of its payment. “Outstanding dues” means all dues pending on a premise including late payment surcharge.

(iii) In the event of non payment of the outstanding dues, the dues shall be recoverable as public demand under the Bihar and Orissa Public Demand Recovery Act, 1954 as amended from time to time.

(iv) The outstanding dues will be first charge on the assets of the defaulting consumer/company, and the licensee shall ensure that this is entered in an agreement with new applicant.

(v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without consideration to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) in case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

However the conditions mentioned under clause 4.15 above shall not apply if inconsistent with the provision of any higher court order or an order as a consequence to it.

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2023 SCC OnLine NCLT 14894

In the National Company Law Tribunal[±]
(BEFORE PRAVEEN GUPTA, MEMBER (JUDICIAL) AND ASHISH VERMA, MEMBER
(TECHNICAL))

S.K. Construction Co. Through its Partner, Mr. Surya
Kant ... Applicant;
Versus

State of U.P. through Principal Secretary (Energy)
Urja Anubhag-3 U.P. Government Secretariat
Lucknow and Others ... Respondents.

IA No. 223/2022 in CP(IB) No. 23/ALD/2017[±]

Decided on February 28, 2023, [Order Reserved on 31.01.2023]
Advocates who appeared in this case :

Sh. Amitabh Agarwal, Adv. : for the Applicant in IA No. 223/2022
Sh. Pranjal Mehrotra, Adv. : for the Respondent in IA No. 223/2022.

ORDER

1. The present IA under consideration is filed by S.K. Construction Co., a partnership firm as the Applicant stating that it is the Successful Auction Purchaser of liquidated property of erstwhile Corporate Debtor, Raman Ispat Private Ltd. This IA is filed on 13.07.2022 under Section 60(5) of the Insolvency and Bankruptcy Code, 2016, read with Rule 11 of the NCLT Rules, 2016. The Applicant in this IA is seeking direction upon Paschimanchal Vidyut Vitran Nigam Limited i.e. Respondent No. 2 to grant New Electricity Connection and supply of electric energy at the premises comprising land and building situated at 7km Milestone Meerut Road, Muzaffarnagar, the liquidation property taken over by the Applicant as Successful Auction Purchaser.

2. As stated by the Applicant in its IA that;

- (i) It purchased property being land and building in an auction carried out by the Liquidator in the liquidation proceeding against Raman Ispat Private Limited i.e. Respondent No. 3 (erstwhile Corporate Debtor) at auction value of Rs. 3,06,00,000/- (3 crore and six lakhs) with a view to carry out its business activity and to set up a factory for manufacturing prefabricated blocks for the construction of the building.
- (ii) That after being the successful auction purchaser, the Applicant applied for new electricity connection to Paschimanchal Vidyut Vitran Nigam Limited i.e. Respondent No. 2 whereby Respondent

No. 2 vide its order dated 09.05.2019 rejected the said application by informing that outstanding dues to the tune of Rs. 4,32,33,883/- were due and payable by the erstwhile Corporate Debtor i.e. Respondent No. 3. However, with regard to the said dues the Respondent has already submitted its claim before the Liquidator.

(iii) The Applicant has been accorded rights over the property in question in pursuance of the certificate of sale dated 23.11.2018 executed in favour of the Applicant by the Liquidator which specifically contains clause 8 pertaining to the claim of Respondent No. 2. However, clause 8 of the said sale certificate makes it abundantly clear that the claim of Respondent No. 2 will be paid out of the sale proceeds of the liquidated estate. The aforesaid certificate of sale is annexed as Annexure 1 at pg no. 32 of the present IA.

(iv) As regards the claim of Respondent No. 2 against the outstanding dues, the Liquidator brought this matter earlier before the NCLT Allahabad in IA No. 88/ALD/2018 resulting into passing of an order dated 21.08.2018 by the NCLT, Allahabad allowing the application, directing the District Magistrate and Tehsildar, Muzzaffarnagar for immediate release of attached property of the Corporate Debtor (Respondent No. 3) that was earlier attached for recovery of outstanding dues by selling the said property on request of Respondent No. 2. Release of the said property was ordered by this Tribunal in favour of Liquidator, so that he may sell the property, and after realisation of the value of the property, it may be distributed in accordance with the relevant provisions of I & B Code, 2016 and it is also held that "Paschimanchal Vidyut Vitran Nigam Limited" i.e. Respondent No. 2 also comes within the definition of Operational Creditor, who can realise the dues in the liquidation process in accordance with law.

Subsequently on filing of appeal against the above order of NCLT, the National Company Law Appellate Tribunal (NCLAT) passed order dated 15.05.2019 in case of *Paschimanchal Vidyut Vitran Nigam Limited v. Raman Ispat Private Ltd.* [CA(AT) Insolvency No. 639 of 2018], confirming the order dated 21.08.2018 holding that Section 238 of the I & B Code, 2016 which is a subsequent parliamentary law will have overriding effect on any other law for time being in force including Electricity Act, 2013 and Rules and Regulations framed thereunder and liberty to Paschimanchal Vidyut Vitran Nigam Limited i.e. Respondent No. 2 was granted to submit its claim with regard to electricity dues with the Liquidator.

(v) In view of the above order of the NCLAT passed in the case of *Paschimanchal Vidyut Vitran Nigam Limited* i.e. Respondent No.

2, it has been emphasized by the Applicant that Clause 4.3(f) of the Electricity Supply Code, 2005 under which, the Respondent No. 2 is insisting on payment of outstanding dues before providing of new electricity connection, is not applicable in case of Applicant due to overriding effect of Section 238 of I & B Code.

- (vi) It is submitted that where the defaulting consumer is a company, the outstanding dues are to be realised from the Directors of the Company as mentioned in sub-clause (v) of Clause 4.3(f) of the Electricity Supply Code, 2005 and hence, as such the same cannot be construed to be a further charge over the assets purchased by the Applicant in auction. It has also been pointed out that the judicial pronouncements made by the NCLT as well as by NCLAT vide judgment and order dated 21.08.2018 and 15.05.2019 respectively, are binding between the parties. In compliance of that, Respondent No. 2 has duly submitted its claim before the Liquidator.
- (vii) The Applicant has also brought the clause 6.15 to our notice relating to Recovery of Arrears contained in Chapter 6 of U.P. Electricity Supply Code, 2005 insisting on that as per its sub-clause (b), no sum dues from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges of electricity supplied and the supply of the electricity shall not be disconnected by licensee for this reason. In the present case as discussed in the application, the Applicant has not been shown by the Respondent No. 2 continuously liable for recovery of arrears of electricity charges and the electricity connection was disconnected from the premises of the erstwhile Corporate Debtor for the last more than two years and hence, the arrear of charges of electricity, if any, of erstwhile Corporate Debtor Company cannot be recovered as on date as per the provisions contained in the U.P. Supply Code, 2005 itself and hence, as further contended in the application that Respondent No. 2 cannot legally be permitted to realise any sum from the Applicant, which is pertaining to arrears of charges of electricity supply to erstwhile Corporate Debtor Company particularly in the light of sub-clause (b) of Clause 6.15 of U.P. Electricity Supply Code 2005.
- (viii) By citing many decisions of Hon'ble Supreme Court and relying on the decision of NCLAT in case of *Paschimanchal Vidyut Vitran Nigam Limited v. Raman Ispat Privat Limited* (Supra), it has been forcefully submitted in the application that Respondent No. 2 in gross misuse of its power and without application of mind, did not allow the Applicant for renewal of electricity supply with a 10 HP

connection at the property as mentioned in Para 1 of this order, with the intention of increasing to 25HP at a subsequent stage, by disregarding the clear overriding mandate of Section 238 of the I & B Code, 2016 and grossly failed to appreciate and/or misunderstood the overriding effect of Section 238 of the Code, which by its *non-obstante clause* ensures the supremacy of the Code over provisions of other laws for the time being in force and runs against the ratio of dictate of the Hon'ble Supreme Court in *Innovative Industries Ltd. v. ICICI Bank* [(2018) 1 SCC 407] which has categorically upheld the overriding effect of the IBC over any other law for the time being in force. Further, it has been contended in the application that Respondent No. 2 does not have the authority, power of jurisdiction to exercise any discretion in granting electric supply energy where by operation of law, payment of all past dues of electricity are to be met from liquidation proceeds of Respondent No. 3 and therefore, by its act of refusal of renewing the connection, the Respondent No. 2 has overstepped its authority to debase the supremacy of the Code, in particular Section 53 thereof.

(ix) Finally, in the petition, a prayer has been made to direct the Respondent No. 2 to grant a new electricity connection and supply electric energy at the premises comprising land and building situated at 7km Milestone, Meerut Road, Muzaffarnagar.

3. On the above petition, notice was issued to the Respondent No. 1 and 2 for filing of reply within two weeks after service of notice. However, despite several adjournments, no reply has been received.

4. Finally, on 24th January, 2023, Sri Pranjal Mehrotra, Ld. Counsel appearing on behalf the Respondent accepts the notice for the Respondent No. 2 of this application as he has been appearing in other matters also on behalf of Paschimanchal Vidyut Vitran Nigam Limited and he has been asked to file the reply within one week and the matter was adjourned for hearing on 31st January, 2023.

5. On 31st January, 2023, though no reply has been filed by the Ld. Counsel, Sri Pranjal Mehrotra, he put his argument against the application opposing to provide new electricity connection to the Applicant raising similar pleas as they were raised in other similar cases.

6. We have considered the arguments put forward by Ld. Counsel Sri Pranjal Mehrotra and also heard the Ld. Counsel Sri Amitabh Agarwal for the Applicant and taken into consideration, the submissions as put in the application of the Applicant discussed in aforesaid paras.

7. The Ld. Counsel for the Respondent opposed the above application mainly taking the ground that the Electricity Act, 2003 and clause 4.3

(f) of the Electricity Supply Code, 2005 is applicable in the present case of the Applicant and hence, a demand notice of Rs. 4,32,33,883/- (Four crore thirty two lakhs thirty three thousand eight hundred and eighty three) is raised as per these provisions. As further argued by him, unless the outstanding dues are paid, no electricity connection can be provided. He also informed that Paschimanchal Vidyut Vitran Nigam Limited i.e. Respondent No. 2 has filed appeal before the Hon'ble Supreme Court against the decision of NCLAT in its order dated 15.05.2019 in which, it has been held that in view of Section 238 of the I & B Code, 2016, the provisions of this Code will have overriding effect on any other law for the time being in force including the Electricity Act, 2003 and Rules and Regulations framed thereunder. As per him, the Electricity Act, 2003 is a special Act, therefore, its provisions in respect of recovery of Electricity dues shall apply in all the cases and as per him, these provisions are not in conflict with the provisions of I & B Code, 2016 and hence, Section 238 of I & B Code will not have any effect on the provisions of the Electricity Act, 2003 and the Electricity Supply Code, 2005 made thereunder.

8. The Ld. Counsel for the Applicant has countered the argument of the Ld. Counsel representing the Respondent No. 2 mainly relying on the decision of NCLAT order dated 15.05.2019 delivered in case of *Raman Ispat Private Limited* i.e. Respondent No. 3. In this application, citing this decision, it has been contended by Ld. Counsel for the Applicant that Respondent No. 2 cannot demand the alleged dues from the Applicant and they are bound to supply the electricity connection without claiming any alleged dues on the property which are prior to CIRP period because such claim has already been part of the claim filed before the Liquidator and the same has been decided as per the provision of Section 53 of the I & B Code, 2016.

9. We have considered all the arguments put forward by both the Ld. Counsels and perused the records. Ld. Counsel representing the Respondent No. 2 has relied on the provisions of Clause 4.3(f) of Electricity Supply Code, 2005 read with Section 50 of the Electricity Act, 2003 to emphasise his point of argument that a new connection of electricity on the premises on which outstanding dues are pending, cannot be provided unless and until such outstanding dues are paid as per these provisions. Therefore, he contended forcefully that the new connection in this case cannot be provided till the full payment of outstanding dues of Rs. 4,32,33,883/- (Four crore thirty two lakhs thirty three thousand eight hundred and eighty three) on the said premises is made. He also contended that only because the Applicant has purchased the property in question through an auction initiated by the process of Corporate Insolvency, the provisions of Electricity Supply Code 2005 will not cease to operate against it. As regards the

provisions of I & B Code 2016 to override those of the Electricity Code, 2005 in terms of Section 238 of the Code, he argued that it will happen only in the case of an inconsistency and in his view, the provisions of Electricity Supply Code 2005 shall be fully applicable in the matter under dispute, as being not inconsistent with the I & B Code 2016. However, as regards the order of Hon'ble NCLAT in the matter of *Paschimanchal Vidyut Vitran Nigam Limited v. Raman Ispat Private Limited* (Supra) relied upon by the Applicant, it has been informed by Ld. Counsel for the Respondent that *this judgment of Hon'ble NCLAT has been challenged before the Hon'ble Supreme of India vide Civil Appeal CA No. 007976/2019 Paschimanchal Vidyut Vitran Nigam Limited v. Raman Ispat Private Limited and the matter is still pending for decision.*

10. As regards the issue whether provisions of I&B Code, 2016 as per Section 238 of this Code shall override provisions of Electricity Supply Code, 2005 and the Electricity Act, 2005, we have perused the order dated 15.05.2019 of Hon'ble NCLAT in case of *Paschimanchal Vidyut Vitran Nigam Limited v. Raman Ispat Pvt. Ltd.* (Supra) and relevant part of the order is reproduced as under:

"9. Learned counsel appearing on behalf of the Appellant submitted that Sections 173 and 174 of the 'Electricity Act, 2003 has overriding effect on all other laws except 'Consumer Protection Act, 1986', 'Atomic Energy Act, 1962' and the 'Railway Act, 1989'.

10. According to learned counsel for the Appellant, Section 238 of the 'I&B Code' cannot override the provisions of Sections 173 and 174 of the 'Electricity Act, 2003'.

11. It was submitted that under the provisions of the 'Electricity Act, 2003' and the 'U.P. Supply Code, 2005, framed under the said Act, 2003 have provisions under Section 42, 45 & 56 of the 'Electricity Act, 2003' and Clauses 4.3 and 6.15 of the 'U.P. Supply Code, 2005' prescribe for 5 Company Appeal (AT) (Insolvency) No. 639 of 2018 recovery of electricity charges. Thus, the 'Electricity Act, 2003' being a Special Act having non-obstante clause will have an overriding effect on the 'I&B Code' which is a general Act.

12. Reliance has been placed on the decision of the Hon 'ble Supreme Court in "Gujarat Urja Vikas Nigam Ltd. v. Essar Power Ltd. — (2008) 4 SCC 755" and the decision of the Hon'ble Supreme Court in "Employees Provident Fund Commissioner v. Official Liquidator of Esskay Pharmaceuticals Ltd.— (2011) 10 SCC 727" to suggest that the Employees Provident Fund and the 'Miscellaneous Provisions Act, 1952' will override on the provisions of the 'Companies Act, 1956'.

13. Sections 173 and 174 of the 'Electricity Act, 2003' read as follows:

"173. Inconsistency in laws— Nothing contained in this Act or

any rule or regulation made thereunder or any instrument having effect by virtue of this Act, rule or regulation shall have effect in so far as it is inconsistent with any other provisions of the Consumer Protection Act, 1986 or the Atomic Energy Act, 1962 or the Railways Act, 1989."

"174. Act to have overriding effect— Save as otherwise provided in section 173, the provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in any other law for 6 Company Appeal (AT) (Insolvency) No. 639 of 2018 the time being in force or in any instrument having effect by virtue of any law other than this Act."

14. The 'Electricity Act, 2003' was enacted and came into force w.e.f. 26th May, 2003 when the 'I&B Code' was not in existence. The decision of the Hon'ble Supreme Court in "Gujarat Urja Vikas Nigam Ltd. v. Essar Power Ltd." (Supra) was also a decision prior to the 'I&B Code' and related to the 'Electricity Act, 2003' wherein the Hon'ble Supreme Court held that the 'Electricity Act, 2003' will have overriding effect on the 'Arbitration and Conciliation Act, 1996'.

15. Learned counsel for the Appellant has also relied on the Hon'ble Supreme Court's decision in "Board of Trustees, Port of Mumbai v. Indian Oil Corporation— (1998) 4 SCC 302" wherein it has held that the provisions of 'Major Board Trust Act, 1963' will have overriding effect over the Companies Act, 1956.

16. However, the aforesaid decision is not also applicable since 'I&B Code' being a complete Code and has come into force w.e.f. 1st December, 2016.

17. Section 238 of the 'I&B Code' is having overriding effect on any other law for the time being in force and reads as follows:

"238. Provisions of this Code to override other laws.—The provisions of this Code shall have effect, notwithstanding anything inconsistent therewith contained in any other law for the time being in force or any instrument having effect by virtue of any such law.

18. In view of Section 238 of the 'I&B Code', the 'I&B Code' will have overriding effect on all laws which are for the time being in force, including the 'Electricity Act, 2003' and Rules and Regulations framed thereunder.

19. The 'I&B Code' being a subsequent Act of parliament, the 'Electricity Act, 2003' cannot override any provisions of the 'I&B Code'.

20. If a conflict arises between one parliamentary law and other parliamentary law, the subsequent parliamentary law has overriding effect on the earlier parliamentary law. It is settled that earlier parliamentary law inconsistent must give away to

subsequent parliamentary law.

21. We have noticed Section 238 of the 'I&B Code' which is a subsequent parliamentary law, which talks of overriding effect on all existing laws, therefore, we hold that the 'I&B Code' will have overriding effect on the 'Electricity Act, 2003, if any of the provisions of the 'Electricity Act, 2003' is inconsistent with the provisions of the 'I&B Code'.

11. From the above decision of Hon'ble NCLAT, it is now clear that provisions of I & B Code shall have overriding effect on Electricity Act, 2003, if any of the provisions of the Electricity Act, 2003 is inconsistent with the provisions of the I & B Code, 2016. Though, the above order is informed to be challenged by the Paschimanchal Vidyut Vitran Nigam Limited, being Respondent No. 1 in this case, before the Hon'ble Supreme Court but there is no stay on the said order of the Hon'ble NCLAT and no final decision has yet come and hence, this issue is decided as per the decision of Hon'ble NCLAT in the present order passed by us.

12. After having decided about overriding effect of provisions of the I&B Code, 2016 over the Electricity Act, 2003, we have examined the provisions of Clause 4.3(f) of Electricity Supply Code 2005 read with Section 50 of the Electricity Act, 2003, which provides for recovery of outstanding dues of electricity supply pertaining to a particular premise and duty of the seller and purchaser of the said premises in this regard. The relevant provisions are reproduced as under:

"f) 3(1)[(i) It will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will be cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment. "Outstanding dues" means all dues pending on a premises including late payment surcharge.

(iii) In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate, by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within 30 working days from the date of application.

(iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an agreement with new Applicant.

(v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without consideration to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

(vii) However the above conditions shall not apply if inconsistent with the provisions of any higher court order or an order as a consequence to it.

(vii) The application shall be processed by licensee on clearing of dues.

13. The above provisions of Electricity Code, 2005, is clearly inconsistent with the provisions of Section 53 of the I & B Code, 2016 which provides for payment of all debts including financial and operational debt, secured as well as unsecured debts. The Respondent No. 1 in the present case at the most, can be considered secured Operational Creditor as the electricity dues as per the Electricity Act, 2003 is being charged against the property to which electricity connection is provided. Therefore, the electricity supplying department is entitled to receive pre-CIRP dues as per the provisions of Section 53 only. They cannot enforce the same as per the provisions of Clause 4.3 (f) of Electricity Supply Code against the Successful Auction Purchaser who bought during the liquidation process, the said premise against which electricity dues of pre-CIRP period is outstanding, earlier belonged to a Corporate Debtor before starting of CIRP. Therefore, plea of the Respondent No. 2 cannot be accepted that he should realise the said amount from the Successful Auction Purchaser before providing him electricity connection because claim of the Respondent No. 2 to realise the pre CIRP dues from Successful Auction Purchaser is clearly in conflict with the statutory scheme as laid down in the I & B Code, 2016.

14. Similar issue of providing electricity connection to Successful Resolution Applicant has been recently dealt by the Hon'ble High Court of Calcutta in order dated 12.07.2022 in case of *West Bengal State Electricity v. Sri vasavi Industries Limited* (MAT 646 of 2022) in which also, it has been held that the right of the electricity supplying company to recover the amount which was due prior to the resolution plan, had extinguished on the approval of the resolution plan and the electricity supplying company is now required to provide the electricity connection to the Respondent being Successful Resolution Applicant in

terms of Electricity Act, 2003. The said Judgment of High Court is reproduced as under:—

“21. Thus, in case of conflict with the State legislation, the provision of IBC will prevail. Hence, it is clear that the provisions of the IBC will prevail over the State Electricity Regulation.

.....

23. So far as the argument advanced by the learned counsel for the appellant placing reliance upon the judgment of the Hon'ble Supreme Court in the matter of Indian Young Lawyers Association (supra), Vithaldas Jagannath Khatri (supra) and Commissioner of Income Tax (Central), Calcutta (supra) about enlargement of one fiction by another, this Court finds that on extinguishment of the right to recover, if a duty is cast under the Electricity Act, 2003 to supply the electricity, then the appellant cannot escape from performing the said duty.

.....

25. Having regard to the above analysis, we find that the right of the appellant to recover the amount which was due prior to the resolution plan had extinguished on the approval of the resolution plan. The appellant is now required to provide the electricity connection to the Respondent in terms of the Electricity Act, 2003, hence, learned Single Judge has not committed any error in allowing the writ petition and issuing requisite direction in this regard. We find no error in the order of the learned Single Judge, hence, no case for interference is made out. The appeal is accordingly, dismissed.”

15. Relying on the judicial pronouncements as discussed in above para, we hold that right of Paschimanchal Vidyut Vitran Nigam Ltd. to recover outstanding dues of pre-CIRP period is now extinguished due to CIRP process getting completed and liquidation of Corporate Debtor is also done and hence, no pre-CIRP electricity dues can be collected from the Applicant being Successful Auction Purchaser. If duty is cast under Electricity Act, 2003 to supply electricity, then Respondent No. 2 being the electricity supplying company is duty bound to provide electricity connection to the Applicant in terms of Electricity Act, 2003.

16. As decided above we direct as under;—

- (i) Respondent No. 2 to complete the documentation with Applicant on the basis of Application submitted by the Applicant in the office of Respondent No. 2 and energise the new electricity connection in terms of Electricity Act, 2003 without insisting on the payment of pre-CIRP dues.
- (ii) Applicant shall otherwise complete all the requirements in

terms of Electricity Act, 2003 for getting new electricity Connection.

17. Ordered accordingly and hence, IA No. 223/2022 is hereby disposed off.

† Allahabad Bench, Prayagraj

‡ (An application under section 60(5) of the Insolvency and Bankruptcy Code read with Rule 11 of the NCLT Rules, 2016)

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2013 SCC OnLine Pat 966 : (2013) 4 PLJR 210 : (2013) 4 BBCJ 72

In the High Court of Patna
(BEFORE RAMESH KR. DATTA, J.)

Vijay Lakshmi ... Petitioner;

Versus

The Bihar State Electricity Board through its
Chairman, Bailey Road (Jawaharlal Nehru Path),
Patna & Ors. ... Respondents.

CWJC No. 17712 of 2012

Decided on August 12, 2013

Oral Order

1. Heard learned counsel for the petitioner and learned counsel for the Bihar State Electricity Board.

2. The petitioner has approached this Court for a direction to the respondent Bihar State Electricity Board, now the Bihar State Power (Holding) Company Limited, to grant new electric domestic connection to the petitioner. The petitioner claims to have become the owner of the property on the basis of a compromise petition filed in a title suit for partition of property between the father of the petitioner and others, pursuant to which a final decree was drawn up on 25.7.2003. Subsequently, the father of the petitioner died in the month of July, 2006. After the death of the father of the petitioner the petitioner decided to shift to her own house alongwith her children and accordingly applied for a domestic electric connection before the respondent Board on 2.3.2012 having completed all the



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formalities on her account. The petitioner having not got the electric connection has approached this Court.

3. In the counter affidavit filed on behalf of the Board the stand taken is that the premises were inspected by the Junior Electrical Engineer who informed that on the said premises there was outstanding due in the name of Shankar Rai having Account No. 187973 under LTIS category of service which stood disconnected on account of outstanding energy dues of Rs. 2,03,473/-, in support of which the last bill dated 4.3.2007 showing disconnection has been enclosed as Annexure-R/B to the counter affidavit. It is thus the stand of

the Board that in terms of Clause 4.15(vi) of the Bihar Electricity Supply Code, 2007 the petitioner being the owner of the premises is duty bound to ensure the payment of the dues of electricity by the tenant before the tenant vacates the premises and thus would not be entitled to a new electric connection until the same was done.

4. Learned counsel for the petitioner submits that under Section 43 of the Electricity Act, 2003 the distribution licensee is bound to give supply of electricity to any premises within one month from the receipt of the application and on failure to supply the same within the said statutory fixed period it shall be liable to a penalty extending to one thousand rupees for each day of default. It is also submitted by learned counsel that in terms of Section 56(2) of the Act no sum due from any consumer shall be recoverable after the period of two years from the date when such sum became first due unless such sum has been shown continuously as recoverable as arrear of charges for electricity supplied and the licensee shall not cut-off the supply of the electricity and, therefore, since more than two years have passed the respondents cannot deny the electric connection to the petitioner.

5. It is also the stand of learned counsel that under Clause 4.1 of the Electricity Supply Code the respondents are obliged to give supply of electricity to the petitioner as the arrears of electricity are not those of any associate or relative of the petitioner.

6. Lastly it is submitted by learned counsel that Clause 4.15(vi) of the Electricity Supply Code, 2007 has no application in the present matter as the present matter arose before the enforcement of the said Supply Code.

7. In support of his stand learned counsel for the petitioner relies upon a decision of this Court in the case of *Smt. Rekha Gupta v. Bihar State Electricity Board*; 1999 (3) PLJR 222, in paragraphs 8, 11 and 12 of which it has been held as follows:—

“8. The contention of the learned counsel for the respondents is that in case of providing electric connection to the tenant permission of the landlord is taken on requisition form and electric connection is provided in the premises. Therefore, the land lord or purchaser thereof shall be liable to pay electrical dues against the erstwhile consumer and unless dues are paid no fresh connection can be provided. In this regard it would be pertinent to mention herein that for providing electric connection an agreement in between the consumer and the Board is entered into for supply of electric energy and payment of electrical dues thereof. It is a personal contract between the parties and as such contract cannot be enforced against third party. A party to the contract has remedy to recover the dues from the party thereto for non-fulfilment of contractual obligation by

filing a suit or by initiating a certificate proceeding under the Bihar and Orissa Public Demands Recovery Act. It is a personal liability



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of contracting party and such personal liability cannot be fastened with the landlord or the bona fide purchaser who is not in any manner connected with the erstwhile consumer of the vendor as it is not charge over the property. Merely because permission is taken for providing electric connection to the tenant it can not be said that the landlord or the bona fide purchaser, who is not connected in any manner with the erstwhile consumer shall be liable for payment thereof. Similarly, Annexure "C" to the counter affidavit says that reconnection of the premises should ordinarily be refused till the dues out standing against the connection is cleared off in full. It does not say with regard to fresh connection. Moreover, it has already been stated that liability to pay electrical dues is between contracting parties and the same cannot be enforced against third party, as it is a personal contract. Therefore, contention of the learned counsel for the respondents has no substance at all.

11. Section 24 of the Indian Electricity Act says with regard to disconnection of supply of electric energy to consumers neglecting to pay the charges and realization of dues. Annexure-C to the counter affidavit says that Assistant Electrical Engineer/Electrical Executive Engineer must see that security deposits are taken in each case and that arrear dues are not allowed to exceed the amount of security deposits. As soon as the energy dues are about to exceed the amount of security deposits, the supply line of the house should immediately, be disconnected after going through the usual formalities of serving the required notice. However, if the Board allowed the consumer to consume electricity even after non payment of dues resulting amount of arrears it cannot take advantage of its own wrong and refuse to give new connection to a bona fide purchaser on the ground that unless dues against the erstwhile consumer is not cleared off in full electric connection cannot be provided. Right of realization of dues against the consumer has also been provided under the Act i.e. by filing a suit or initiation of certificate proceeding.

12. Learned counsel for the respondents, however, relied upon a decision in the case of *Bhola Shankar Prasad Sah v. Bihar State Electricity Board* disposed of on 21.12.1995, Annexure-E to the counter affidavit in support of his contention. On perusal of the

decision as aforesaid, it is evident that the court has taken into consideration the report wherein the authority of the Electricity Board stated that earlier consumer and the intending consumer were related to each other. They were residing together. Electric connection was taken in collusion with each other to deny the Board of its legitimate dues and, accordingly, the court observed that new service connection could have been sanctioned only after realization of dues against service connection no. 34042. In the instant case, there is nothing on record to show that the petitioner, the purchaser, is in any way connected with the erstwhile consumer *i.e.* Raj Kumar. Therefore, the decision relied upon by the learned counsel for the petitioner has no bearing in the facts of the case. Moreover, in the case of *Suman Packaging Private Limited, Digha Ghat v. The Chairman, Bihar State Electricity Board*, 1995 (1) B.L.J. 465 a Division Bench of this Court has held that refusing to give new connection to the purchaser/owner of a unit, who has purchased the same in auction held under Section 29 of the State Financial Corporation is not justified under the law and he is not bound by any personal agreement and is not statutorily liable



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to clear off the personal dues of the erstwhile consumer. Section 24 of the Indian Electricity Act does not apply in case where transferee had no connection with original consumer and, accordingly, direction was issued to the Electricity Board to give new electric connection to the petitioner on the terms and conditions as required under the law. It has already been stated that, in fact, there is no distinction between purchase in auction or purchase by registered sale deed. Therefore, ratio decided is applicable in case of purchases by registered sale deed. The said decision was challenged before the Apex Court which was considered alongwith other similarly situated case in the case of *Isha Marbles v. Bihar State Electricity Board*, (1995) 2 SCC 648 and the Apex Court upheld the decision of this Court.”

8. Learned counsel also relies upon a decision of a learned Single Judge of this Court in the case of *Archana Devi v. The Chairman, Bihar State Electricity Board*, 2012 (4) PLJR 701, paragraphs 9 and 13 of which are quoted below:—

“9. During the course of argument, learned counsel for the Board has produced a copy of the Bihar Electricity Supply Code, 2007 (herein after referred to as the “Supply Code”). The third proviso to Clause 4.1 of the Supply Code requires the purchaser of a property

applying for a new connection, to clear the dues, in case he happens to be a relative of the person against whom the electricity arrears have been noted. Clause 4.15 of the Supply Code also cast a duty on the vendor to find out the outstanding dues as on the date of sale and also to pay the same.

13. A consideration of the provisions of the Supply Code and the recitals of the sale deed manifests that no responsibility or obligation has been cast on the petitioner to either make any enquiry as regarding pending electricity dues or to clear the same."

9. Learned counsel also relies upon a decision of the Apex Court in the case of *Haryana State Electricity Board v. Hanuman Rice Mills*, 2010 (4) PLJR (SC) 61, in paragraphs 8 & 9 of which it has been held as follows:—

"8. In *Paschimanchal Vidyut Vitran Nigam Ltd. v. D v. Steels & Alloys Pvt. Ltd.* [(2009) 1 SCC 210] this court held, while reiterating the principle that the electricity dues did not constitute a charge on the premises, that where the applicable rules requires such payment, the same will be binding on the purchaser. This court held:

—
"A transferee of the premises or a subsequent occupant of a premises with whom the supplier has no privity of contract cannot obviously be asked to pay the dues of his predecessor in title or possession, as the amount payable towards supply of electricity does not constitute a "charge" on the premises. A purchaser of a premises, cannot be foisted with the electricity dues of any previous occupant, merely because he happens to be the current owner of the premises.

When the purchaser of a premises approaches the distributor seeking a fresh electricity connection to its premises for supply of electricity, the distributor can stipulate the terms subject to which it would supply electricity. It can stipulate as one of the conditions for supply, that the arrears due in regard to the supply of electricity made to the premises when it was in the occupation of the previous owner/occupant, should be cleared before the electricity supply is restored to the premises or a fresh connection is provided to the premises. If



any statutory rules govern the conditions relating to sanction of a connection or supply of electricity, the distributor can insist upon fulfillment of the requirements of such rules and regulations. If the rules are silent. it can stipulate such terms and conditions as it deems

fit and proper, to regulate its transactions and dealings. So long as such rules and regulations or the terms and conditions are not arbitrary and unreasonable, courts will not interfere with them.

A stipulation by the distributor that the dues in regard to the electricity supplied to the premises should be cleared before electricity supply is restored or a new connection is given to a premises, cannot be termed as unreasonable or arbitrary. In the absence of such a stipulation, an unscrupulous consumer may commit defaults with impunity, and when the electricity supply is disconnected for non-payment, may sell away the property and move on to another property, thereby making it difficult, if not impossible for the distributor to recover the dues. Provisions similar to Clause 4.3(g) and (h) of Electricity Supply Code are necessary to safeguard the interests of the distributor."

10. The position therefore can be summarized thus:—

- (i) Electricity arrears do not constitute a charge over the property. Therefore in general law, a transferee of a premises cannot be made liable for the dues of the previous owner/occupier.
- (ii) Where the statutory rules or terms and conditions of supply which are statutory in character, authorize the supplier of electricity, to demand from the purchaser of a property claiming re-connection or fresh connection of electricity, the arrears dues by the previous owner/occupier in regard to supply of electricity to such premises, the supplier can recover the arrears from a purchaser."

11. Learned counsel for the respondent Board, on the other hand, has placed reliance upon Clause 4.15(vi) of the Bihar Electricity Supply Code, 2007 which is in the following terms:—

"In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises."

12. It is also the contention of learned counsel that the reliance placed by learned counsel for the petitioner cannot be of any help as those cases related to sale and purchase of premises, whereas in the present matter there has been continuity of title and possession of the same premises, the same having passed from one member of the family of the petitioner to the other by virtue of a compromise decree in the title suit.

13. Learned counsel also relies upon a decision of this Court passed in CWJC No. 16101 of 2010 (*Sanjay Kumar Singh v. The Bihar State Electricity Board*), disposed of by order dated 2.12.2010 which has been annexed as Annexure-R/C to the counter affidavit in which in the

last but one paragraph it has been held as follows:—

“The Court therefore holds that in view of the provisions of Clause 4.15(vi) incorporated by the Board for its own protection in terms of the discussion contained in the case of *Paschimanchal Vidyut Vitran Nigam Limited* (supra) referred to above, no fault can be found with the stand of the Board that until the dues are not cleared, it shall not provide electricity connection.”

14. I have considered the submissions of learned counsel for the parties. So far as the stand of learned counsel for the petitioner under Section 56(2) is concerned, the same has no application in the facts of the case as the said



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section relates to arrears being shown continuously in the Electricity Board for the same to continue to be recoverable after a period beyond two years. The said issue does not arise in the present case as the electric connection was disconnected on 11.3.2007 and the last bill at the time of disconnection also clearly shows the entire arrears at the relevant time.

15. Similarly I do not find any force in the reliance placed by learned counsel for the Board on the provisions of Clause 4.1 of the Electricity Supply Code as the third proviso to the said provision applies in the case where the applicant is an associate or relative of the defaulting consumer and only in such a case if there are arrears of electricity dues on a premises a new connection shall not be released to the new applicant. Evidently the petitioner cannot be considered either as associate or relative of the defaulting consumer, namely, the erstwhile tenant of father of the petitioner. The said provision does not in term apply to the case of the petitioner.

16. The main issue to be considered in the present matter is the applicability of Clause 4.15(vi) of the Electricity Supply Code. From a perusal of the said provision it is evident that certain condition must be present before the same can be invoked, that is, the electric connection to the premises itself must have been given with the consent of the house owner and only then the house owner would be liable to pay all arrears/dues of Electricity Board of the tenant of the premises. Therefore, until the said condition is satisfied no benefit can be taken of the same by the Board. In the present matter there is nothing on the record to show that the electric connection to the premises in question has been given to the said tenant Shankar Rai with the consent of the father of the petitioner. Thus the very precondition to the applicability

of sub-clause (vi) does not exist in the present matter.

17. Moreover, the Bihar Electricity Supply Code, 2007 has brought into force by publication in the official gazette on 10.1.2008. The electric connection in the present matter was admittedly disconnected on 11.3.2007 and thus on the date of disconnection the Electricity Supply Code, 2007 was not in existence. Hence any liability pertaining to the erstwhile tenant who had admittedly vacated the premises with respect to his electric connection cannot be foisted on the petitioner so as to give retrospective operation to the provisions of Clause 4.15(vi) of the Supply Code.

18. Thus on both the counts I find that the respondent Board is unable to show how the petitioner can be held liable for the payment of the electricity dues of the erstwhile tenant whose connection has been disconnected on 11.3.2007. In the said circumstances, the reliance placed on the case of *Sanjay Kumar Singh* (supra) can be of no avail as these issues did not at all arise in the said case. Thus in the light of the afore said discussions this Court is of the view that it is not open to the respondent Board, now the Bihar State Power (Holding) Company Limited, to insist upon the payment of the arrears of the erstwhile tenant before granting a new domestic electric connection to the premises of the petitioner. Let the same be done within a period of one month from today in terms of the statutory time limit prescribed under Section 43 of the Act.

19. The writ application is, accordingly, disposed of with the aforesaid observations and directions.

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2014 SCC OnLine All 17065

In the High Court of Allahabad

(BEFORE AMRESHWAR PRATAP SAHI AND VIVEK KUMAR BIRLA, JJ.)

Anubhav Jaiswal ... Petitioner;

Versus

State of U.P. and Others ... Respondent.

Writ - C No. - 44867 of 2014

Decided on August 27, 2014

Advocates who appeared in this case :

Counsel for Petitioner: Ashok Pandey

Counsel for Respondent: Mahboob Ahmad

The Judgment of the Court was delivered by

AMRESHWAR PRATAP SAHI, J. and VIVEK KUMAR BIRLA, J.:— This case has certain peculiar facts with regard to the liability and apportionment of electricity dues in respect of a premise that came to be succeeded by several owners.

2. The original owner of the premise Shri Islam Beg sold part of the premises in favour of one Jitendra Kumar Srivastava in the year 2008. Shri Jitendra Kumar Srivastava in turn sold it to one Smt. Swati Chaurasiya in the year 2009, who in turn sold it to one Shri R.K. Malviya in the year 2011. The petitioner is the fourth purchaser of part of the said premises under a sale deed dated 12/4/2012. The petitioner wanted to absolve himself of any liability of electricity dues and obtain a new connection for the portion which he has purchased.

3. An inspection was carried out and a theft proceeding was initiated against the petitioner. The petitioner appears to have filed Writ Petition No. 30684/2013 which was disposed of on 10/12/2013 by the following judgment:

“The grievance of the petitioner in the matter of new connection being provided in his name at the residential house No. 64/1 Keedganj, Allahabad needs to be examined by the respondent no. 2 at the first instance.

The writ petition is accordingly disposed of with a direction to the petitioner to approach the respondent no. 2 along with certified copy of this order within a period of two weeks from today and the respondent no. 2 shall look into the grievance of the petitioner and pass an appropriate order within a period of two weeks thereafter.

We make it clear that if there are any arrears of the previous connection it shall be necessary that these dues are cleared before

new connection is provided.”

4. Since the same was not being redressed, the petitioner filed Contempt Application No. 2225/2014. On the issuance of the notice, the Chief Engineer has now disposed of the representation of the petitioner by the impugned communication dated 21/4/2014 which has been assailed in the present writ petition.

5. The contention of Shri Ashok Pandey, learned counsel for the petitioner is that the petitioner cannot be saddled with the liability of the entire premises and the dues against Shri Islam Beg have to be realised from him. He contends that Shri Islam Beg continues to enjoy the electricity connection without any proceeding for disconnection inspite of dues on him, and on the other hand the petitioner is being denied the new electricity connection. He further submits that the petitioner has made certain deposits yet the respondents have refused a new connection to the petitioner subject to deposit of the entire dues on the entire premises and payment of the other dues referred to in the order dated 21/4/2014.

6. Shri Mehboob Ahmad, learned counsel for the respondents submits that so far as the payments are concerned, unless it is cleared in terms of Clause 4.3 of the Electricity Supply Code, 2005, (hereinafter called the “Code, 2005”) it will not be possible for the Electricity Department to grant a new connection to the petitioner as desired by him. He further submits that if such dues are cleared of then a decision can be taken by the licensor or its competent authority in the matter as per the aforesaid provisions. He further contends that processing can be done including fixing of any proportionate liability in the event of sale and purchase of a divided share of the property. The petitioner having not approached under the aforesaid provision, and there being no application to that effect nor any evidence to support the same, the representation of the petitioner had to be rejected. He submits that now the entire facts have been stated in the present writ petition and in the aforesaid background the claim of the petitioner can be decided keeping in view the aforesaid provision.

7. Having considered the submissions raised, Clause 4.3 of the Electricity Supply Code, 2005 is extracted herein:

“4.3. New Connections-General.-(a)The system of supply and voltage shall depend on the category of the consumer and the load as per details given in Chapter 3.

[(b) Application form for obtaining new connection and for enhancement/reduction of load shall be made available to the applicant free of charge at all offices of the Licensee. The Licensee shall also put them on its website for downloading photocopies of a blank form may be made by the applicant and shall be accepted by the Licensee. The Licensee shall endeavour to introduce systems

facilitating electronic filing of the applications for release of connections through meters (all categories), or filing/processing for connections through prepaid meters provided commercially viable and sustainable technology is available.]

(c) The licensee/local authority shall designate Officers/authority for accepting applications in respect of sanction of load (for different categories of load) for new connection and releasing load by way of giving new connection. However the local authority for a rural area may frame it's own procedure for release of connection from time to time which shall as far as possible be in conformity to approved guidelines/specifications/costs specified by Commission.

(d) All information relating to procedure, fees, designated officers for releasing new connections may be displayed on the notice boards of sub-division office, Divisional offices and offices of DGM's/GM's/office of licensee. Public information counters for new forms, filing, and disseminating information status in the above offices, with computerized facilities in all towns with a population greater than 10 lakhs may be made operational within a time frame of one year.

(e) The electronic filing of a new application, status of connection pending to be released, and tracking of status of a connection through IVRS facility may also be made possible in a phased manner in all cities, through use of information technology, on the internet website, centralized call centres, and proper linking with the sub-division/Division/DGM/GM offices.

[(f)(i) It will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will be cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment "Outstanding dues" means all dues pending on a premises including late payment surcharge.

(iii) In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate, by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within 30 working days from the date of application.

(iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an

agreement with new applicant.

(v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without consideration to licensee's charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

(vii) However the above conditions shall not apply if inconsistent with the provision of any higher Court order or an order as a consequence to it.

(viii) The application shall be processed by licensee on clearing of dues.]

(g) Where the property has been legally sub-divided, the outstanding dues for the consumption of energy on such premises, if any, shall be divided on pro-rata basis.

(h) A new connection to such sub-divided premises shall be given only after the share of outstanding dues attributed to such sub-divided premises, is duly paid by the applicant. Licensee shall not refuse connection to an applicant only on the ground that, dues on the other portion(s) of such premises have not been paid, nor shall the licensee demand record of last paid bills of other portion(s) from such applicants."

8. A perusal thereof leaves no room for doubt that the outstanding dues shall be the first charge on the premises itself and in the event the property has been legally sub-divided, the outstanding dues on account of purchase of such premises, if any, shall be divided on pro-rata basis.

9. We have perused the impugned order, and we do not find any such exercise having been undertaken presumably on account of the fact that the petitioner himself did not provide the entire information. In the circumstances the impugned order ex-facie cannot be faulted with, but in view of the provisions of Clause 4.3 of the Code, 2005, the matter requires a fresh determination after putting the original owner Shri Islam Beg as well to notice.

10. Consequently, we dispose of this writ petition with a direction to the Executive Engineer concerned to take stock of the situation and after making inquiry and considering all the objections if any, as well as the documents on which reliance has been placed by the petitioner proceed to pass appropriate orders expeditiously, preferably within a

period of three months from the date of production of the certified copy of this order, provided the petitioner undertakes to deposit the amount which falls due in his share upon such determination.

11. A certified copy of the order shall be filed by the petitioner within ten days before the Executive Engineer along with an exhaustive representation, coupled with the documents on which reliance is being placed and the same shall be disposed of after putting Shri Islam Beg or any of the appropriate person to notice.

12. Shri Ashok Pandey, learned counsel for the petitioner submits that the Contempt Application No. 2225/2014 has become infructuous and it may be directed to be consigned to records.

13. Accordingly, Contempt Application No. 2225/2014, shall be treated to have become infructuous and it shall be consigned to records for which a copy of this order shall be placed on the records of the contempt application.

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2014 SCC OnLine Pat 2552

(BEFORE JYOTI SARAN, J.)

Ujala Kumar @ Ujala Singh, son of Late Ram
Chandra Prasad Singh, Resident of village -
Dighikala, P.S. Sadar Hajipur, District - Vaishali .
.... Petitioner/s

v.

1. The State of Bihar, through the Chief Secretary,
Govt. of Bihar, Patna.
 2. The Chairman, Bihar State Electricity Board,
Patna.
 3. The Chief Engineer, Tirhut Pramandal, Bihar
Electricity Board, Hajipur, Circle, District -
Vaishali.
 4. The Executive Engineer, Bihar State Electricity
Board, Hajipur Circle, Vaishali.
 5. Assistant Engineer, Bihar State Electricity Board,
Hajipur Circle, Vaishali.
 6. S.D.O. Bihar State Electricity Board, Hajipur
Circle, Vaishali.
 7. Amit Kumar, son of Raj Kumar Chaudhary,
resident of village-Mahua (Mukundpur), P.S.
Mahua, District - Vaishali Respondent/s
- For the Petitioner/s: Mr. Dhananjay Mishra
For the Respondent-State: Mr. Kumar Manglam, AC to GP-15
For the respondent-NBPDCL: Mr. Vinay Kirti Singh

Civil Writ Jurisdiction Case No. 8548 of 2014

Decided on August 27, 2014

ORAL ORDER

Heard the parties.

The petitioner has prayed for a limited direction to the respondent-authorities to provide him with a new electricity connection. It is stated that only on grounds that the previous lease-holder of the petitioner had some outstanding against him that the connection is being denied. The action is purportedly taken under clause 4.15(vi) of the Bihar Electricity Supply Code, 2007 which provides as under:

“4.15. No Dues Certificate-

... ..

... ..

(vi) in case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

However the conditions mentioned under clause 4.15 above shall not apply if inconsistent with the provision of any higher court order or an order as a consequence to it.”

As is manifest from the clause 4.15(vi) itself that it is only in circumstances where the electricity connection has been provided to the lease-holder with the consent of the house-owner that he has been made liable for clearing the dues outstanding against the lease-holder. There is nothing on record to suggest that the electrical connection was provided with the consent of the house-owner, although it was orally submitted that the application for connection filed by the lease-holder bears the signature of the petitioner. A mere presence of signature on an application cannot signify consent unless it is expressed in such terms.

In the circumstances discussed, the denial of electrical connection to the petitioner is held unjustified. The concerned Executive Engineer or the authority concerned, is directed to provide connection to the petitioner within a period of four weeks from the date of receipt/production of a copy of this order.

The writ petition is allowed.

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2023 SCC OnLine NCLT 10668

In the National Company Law Tribunal[±]
(BEFORE PRAVEEN GUPTA, MEMBER (JUDICIAL) AND ASHISH VERMA, MEMBER
(TECHNICAL))

HSA Traders Through, Sole Proprietor Mr. Furqan
Ahmed Malik and Another ... Applicant No. 1;

Versus

Office of the Executive Engineer Electricity
Distribution Division Paschimanchal Vidyut Vitran
Nigam Limited and Another ... Respondent No. 1.

IA No. 219/2022 in CP(IB) No. 140/ALD/2017[±]

Decided on February 21, 2023, [Order reserved on 24.01.2023]

Advocates who appeared in this case :

Sh. Kunal Godhwani, Adv. : for the applicant in IA No. 219/2022
Sh. Manu Ghildyal, Adv. : for the Respondent in IA No. 219/2022.
Sh. Chanchal Dua, Adv. : for the Ex-Liquidator present in person

ORDER

1. The present Application has been filed on 11.07.2022 by Successful Auction Purchaser under Section 32 A r/w. Section 53(1) and Section 60(5) of the Insolvency and Bankruptcy Code, 2016, inter alia, praying to pass an order directing Respondent No. 1 i.e. Paschimanchal Vidyut Vitran Nigam Ltd.(PVVNL) to grant electricity connection in the premise at Khasra No. 38, Village Sardhan, Budha Road, Khatauli, District Muzzaffarnagar, U.P. purchased during Liquidation Process of Corporate Debtor, Shashi Oils & Fats Pvt. Ltd., which has since been dissolved vide order dated 15.07.2021 of this tribunal. HSA Traders prop. Mr. Furqam Ahmed Malik is Successful Auction Purchaser who is Applicant No. 1 and he is director in Ezwaste Recycling Private Limited i.e. the Applicant No. 2 in whose name application for electricity connection has been made for above mentioned property bought in liquidation process.

2. The brief facts leading to filing of the instant application are as under:—

1. This tribunal passed an order on 21.02.2020 for Liquidation of Shashi Oil & Fats Pvt. Ltd., a Corporate Debtor, against which the Corporate Insolvency Resolution Process (CIRP) was earlier initiated under Section 7 of the Insolvency and Bankruptcy Code, 2016 (I&B code, 2016) by this tribunal, which could not succeed,

and hence, the said liquidation order was passed.

II. Pursuant to Liquidation order dated 21.02.2020, Mr. Chanchal Dua was appointed Liquidator for the said Corporate Debtor to carry out the functions as enumerated under Section 35 of I&B Code, 2016.

III. After Collecting claims of all the creditors of the said Corporate Debtor in terms of the public announcement made by the liquidator, he published e-auction sale notice dated 12.08.2020 in Newspaper for sale of assets of the Corporate Debtor on "as is where is, as is what is, whatever there is and without recourse basis". Thereafter, the Applicant No. 1/Successful Auction Purchaser with desire to participate in the auction process conducted by the Liquidator, deposited EMD of Rs. 37.50 lakhs i.e. 10% of the reserve price in the liquidation account.

IV. The e-auction was conducted on 29.08.2020, and on the date of the closure of the e-auction window, the Applicant No. 1 has been found making highest bid in the e-auction process and the Liquidator accepted his bid for an amount of Rs. 3.78 cr. Thereafter, the Liquidator vide its email dated 29.08.2020 declared the Applicant No. 1 as Successful Auction Purchaser of the assets of the Corporate Debtor mentioned in para 1 of this order. Thereafter, the Applicant by the date of 25.09.2020 deposited the entire sale consideration along with the GST as applicable for the purchase of land, building, plant and machinery of the Corporate Debtor. In this regard, the Liquidator issued sale certificate dated 28.09.2020 to the Applicant No. 1 and handed over the possession of the said property to the Applicant No. 1 on 01.10.2020 and a possession certificate dated 01.10.2020 has also been issued to him by the Liquidator of the Corporate Debtor.

3. In the instant Application, the Applicant No. 1 after narrating the above facts further averred that he being the bonafide purchaser of the said premise/assets of the erstwhile Corporate Debtor, who is also the director in Applicant No. 2 Company applied for new electricity connection for the said premise but Respondent No. 1 rejected the said application and raised demand of Rs. 39,15,625/- that pertained to the period when erstwhile Corporate Debtor was running business before CIRP was initiated and it was informed that new connection of electricity will be provided only upon clearance of the above dues.

4. As the Applicant No. 1 is not in position to start business in the said premises in absence of electricity connection due to refusal of Respondent No. 1 to provide electricity connection and Respondent no. 1 insisting on payment of Rs. 39,15,625/- before providing electricity connection despite the fact that the above dues pertained to pre-CIRP period, the Applicant No. 1 alongwith Applicant No. 2 filed the instant

Application. In the said Application, it has been contended that despite the waterfall mechanism provided under Section 53(1) of the I&B Code and protection granted to assets taken in Liquidation process in terms of Section 32 A of the I&B Code and overriding effect of the provisions of the I&B Code, 2016 in view of Section 238 of the Code, the Respondent no. 1 instead of providing electricity connection, issued a demand notice of Rs. 39,15,625/-, which is not maintainable in terms of the provisions of the Code. As per the Applicant No. 1 being bona fide purchaser of the premise during auction of a Liquidation Process as per I&B Code, 2016, he cannot be asked to pay the alleged dues and prayed to direct the Respondent No. 1 to grant electricity connection exercising jurisdiction in terms of section 60(5) of the code. In support of his above prayer, reliance is placed upon judgment passed by Hon'ble National Company Law Appellate Tribunal, New Delhi Bench (NCLAT) in matter of *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Pvt. Ltd.* Company Appeal (AT) (Ins) No. 639 of 2018, wherein it has been held that provisions of the I&B Code, 2016 being a subsequent enactment shall override the provisions of the Electricity Act, 2003.

5. Ld. Counsel for Respondent opposed the above application submitting that the Electricity Act, 2003 and clause 4.3(f)(i) of the Electricity Supply Code, 2005 is applicable in the present case and demand notice of Rs. 39,15,625/- is raised as per these provisions. It is also admitted by the Respondent no. 1 that no recovery is initiated against the Applicant at all and the Applicant has a right to avail any legal remedy as advised and available to it. However, it is also contended that pending outstanding dues is against the premise purchased by Applicant as per Section 50 of the Electricity Act, 2003 and clause 4.3(f) of Electricity Supply Code 2005 and hence, Applicant ought to have known that there are pending electricity bills over the premise in question. Therefore, due diligence was required to be exercised by the Applicant while participating in auction process. The applicant has never denied the existence of electricity dues. Therefore, in view of Respondent, only because the Applicant has purchased the property in question through an auction initiated by the process of Corporate Insolvency, the provisions of electricity Code, 2005 will not cease to exist.

6. Countering the above contentions of the Ld. Counsel of the Respondent emphasising for payment of outstanding dues of the electricity supply pending against the premises purchased by the Applicant before providing electricity connection, the Ld. Counsel of the Applicant further submitted that the Respondent No. 1 cannot demand the alleged dues from the Auction Purchaser and they are bound to supply the electricity connection without claiming any alleged dues on

the property which are prior to CIRP period. In support of his arguments, he placed reliance upon judgment passed by Hon'ble NCLAT in the matter of *Eastern Power Distribution Company of Andhra Pradesh Ltd. v. Maithan Alloys Ltd.*, Company Appeal (AT) (Ins) No. 961 of 2021. The Ld. Counsel citing the above referred judgment pointed out that the facts of the case in this judgment are similar to the facts of the case of the Applicant as being Successful Auction Purchaser from whom outstanding dues of electricity supply of pre-CIRP period was demanded by the electricity supplying company in the above referred judgment also, but the Adjudicating Authority of NCLT Kolkata in its order dated 05.10.2021 directed the electricity supplying company to energise the electricity connection and for payment of outstanding dues of electricity supply, the electricity supplying company was asked to approach the Liquidator for considering the claim in accordance with the I&B code, 2016 for making payment as per Section 53 of the code. This order of NCLT, Kolkata Bench is upheld by the Hon'ble NCLAT in the above referred judgment.

7. We have heard the learned Counsel for the parties and perused the record. The undisputed facts in this case are that the Applicant No. 1 has acquired the premise for which application to provide electricity connection has been submitted to the Respondent No. 1 in an auction sale process carried out as per the provisions of the I&B Code, 2016, outstanding dues of electricity Supply of Rs. 39,15,625/- is for pre-CIRP period for which Applicant No. 1 being Auction Purchaser is not legally bound to make payment as per the provisions of I&B code, 2016 and it is also admitted by the Respondent No. 1 in its counter affidavit that no recovery is initiated against the Applicant at all and the Applicant has a right to avail any legal remedy as advised and available to it. Now, the question to be decided is that whether the Applicant No. 1 would be liable to pay the outstanding dues of electricity supply pertaining to pre-CIRP period before getting the electricity connection for the premise acquired in auction process carried out under I&B Code, 2016.

8. With regard to above question, the Ld. Counsel of the Respondent No. 1 has relied on the provisions Clause 4.3(f) of Electricity Supply Code, 2005 r/w. Section 50 of the Electricity Act, 2003 to emphasise his point of argument that a new connection of electricity on the premises on which outstanding due are pending, cannot be provided unless and until such outstanding dues are paid as per these provisions. Therefore, he contended forcefully that the new connection in this case, cannot be provided till the full payment of outstanding dues of Rs. 39,15,625/- on the said premises is made. He also contended that only because the Applicant has purchased the property in question through an auction initiated by the process of Corporate

Insolvency, the provisions of Electricity Supply Code 2005 will not cease to operate against it. As regards the provisions of I & B Code, 2016 to override those of the Electricity Code, 2005 in terms of the Section 238 of the Code, he argued that it will happen only in the case of an inconsistency and in his view, the provisions of Electricity Supply Code, 2005 shall be fully applicable in the matter under dispute, as being not inconsistent with the I & B, 2016. However, as regards the order of Hon'ble NCLAT in the matter of *Paschimanchal Vidyut Vitran Nigam Ltd. v. Raman Ispat Ltd.* (Supra) relied upon by the Applicant No. 1, the provisions of the I & B Code, 2016 being subsequent enactment shall override the provisions of the Electricity Act, 2003, the Ld. Counsel for Respondent informed *that this judgment of Hon'ble NCLAT has been challenged before the Hon'ble Supreme Court of India vide Civil Appeal CA No. 007976/2019 PVVNL v. Raman Ispat Pvt. Ltd. and matter is still pending for decision.*

9. As regards the issue whether provisions of I&B Code, 2016 as per Section 238 of this Code shall override provisions of Electricity Supply Code, 2005 and the Electricity Act, 2005, we have perused the order dated 15.05.2019 of Hon'ble NCLAT in case of *PVVNL v. Raman Ispat Ltd.* (Supra) and relevant part of the order is reproduced as under:

"9. Learned counsel appearing on behalf of the Appellant submitted that Sections 173 and 174 of the 'Electricity Act, 2003 has overriding effect on all other laws except 'Consumer Protection Act, 1986', 'Atomic Energy Act, 1962' and the 'Railway Act, 1989'.

10. According to learned counsel for the Appellant, Section 238 of the 'I&B Code' cannot override the provisions of Sections 173 and 174 of the Electricity Act, 2003'.

11. It was submitted that under the provisions of the 'Electricity Act, 2003' and the 'U.P. Supply Code, 2005, framed under the said Act, 2003 have provisions under Section 42, 45 & 56 of the 'Electricity Act, 2003' and Clauses 4.3 and 6.15 of the 'U.P. Supply Code, 2005' prescribe for 5 Company Appeal (AT) (Insolvency) No. 639 of 2018 recovery of electricity charges. Thus, the 'Electricity Act, 2003' being a Special Act having non-obstante clause will have an overriding effect on the 'I&B Code' which is a general Act.

12. Reliance has been placed on the decision of the Hon'ble Supreme Court in "Gujarat Urja Vikas Nigam Ltd. v. Essar Power Ltd. — (2008) 4 SCC 755" and the decision of the Hon'ble Supreme Court in "Employees Provident Fund Commissioner v. Official Liquidator of Esskay Pharmaceuticals Ltd.— (2011) 10 SCC 727" to suggest that the Employees Provident Fund and the 'Miscellaneous Provisions Act, 1952' will override on the provisions of the 'Companies Act, 1956'.

13. Sections 173 and 174 of the 'Electricity Act, 2003' read as follows:

“173. Inconsistency in laws— Nothing contained in this Act or any rule or regulation made thereunder or any instrument having effect by virtue of this Act, rule or regulation shall have effect in so far as it is inconsistent with any other provisions of the Consumer Protection Act, 1986 or the Atomic Energy Act, 1962 or the Railways Act, 1989.”

“174. Act to have overriding effect— Save as otherwise provided in section 173, the provisions of this Act shall have effect notwithstanding anything inconsistent therewith contained in any other law for 6 Company Appeal (AT) (Insolvency) No. 639 of 2018 the time being in force or in any instrument having effect by virtue of any law other than this Act.”

14. The ‘Electricity Act, 2003’ was enacted and came into force w.e.f. 26th May, 2003 when the ‘I&B Code’ was not in existence. The decision of the Hon’ble Supreme Court in “Gujarat Urja Vikas Nigam Ltd. v. Essar Power Ltd.” (Supra) was also a decision prior to the ‘I&B Code’ and related to the ‘Electricity Act, 2003’ wherein the Hon’ble Supreme Court held that the Electricity Act, 2003’ will have overriding effect on the Arbitration and Conciliation Act, 1996’.

15. Teamed counsel for the Appellant has also relied on the Hon’ble Supreme Court’s decision in “Board of Trustees, Port of Mumbai v. Indian Oil Corporation— (1998) 4 SCC 302” wherein it has held that the provisions of ‘Major Board Trust Act, 1963’ will have overriding effect over the Companies Act, 1956.

16. However, the aforesaid decision is not also applicable since ‘I&B Code’ being a complete Code and has come into force w.e.f. 1st December, 2016.

17. Section 238 of the ‘I&B Code’ is having overriding effect on any other law for the time being in force and reads as follows:

“238. Provisions of this Code to override other laws.—The provisions of this Code shall have effect, notwithstanding anything inconsistent therewith contained in any other law for the time being in force or any instrument having effect by virtue of any such law.

18. In view of Section 238 of the ‘I&B Code’, the ‘I&B Code’ will have overriding effect on all laws which are for the time being in force, including the ‘Electricity Act, 2003’ and Rules and Regulations framed thereunder.

19. The ‘I&B Code’ being a subsequent Act of parliament, the ‘Electricity Act, 2003’ cannot override any provisions of the ‘I&B Code’.

20. If a conflict arises between one parliamentary law and other parliamentary law, the subsequent parliamentary law has

overriding effect on the earlier parliamentary law. It is settled that earlier parliamentary law inconsistent must give away to subsequent parliamentary law.

21. We have noticed Section 238 of the 'I&B Code' which is a subsequent parliamentary law, which talks of overriding effect on all existing laws, therefore, we hold that the 'I&B Code' will have overriding effect on the Electricity Act, 2003, if any of the provisions of the 'Electricity Act, 2003' is inconsistent with the provisions of the 'I&B Code'.

10. From the above decision of Hon'ble NCLAT, it is now clear that provisions of I&B Code shall have overriding effect on Electricity Act, 2003, if any of the provisions of the Electricity Act, 2003 is inconsistent with the provisions of the I & B Code, 2016. Though, the above order is informed to be challenged by the PVVNL, being Respondent No. 1 in this case, in Hon'ble Supreme Court but there is no stay on the said order of the Hon'ble NCLAT and no final decision has yet come and hence, this issue is decided as per the decision of Hon'ble NCLAT in the present order passed by us.

11. After having decided about overriding effect of provisions of the I & B Code, 2016 over the Electricity Act, 2003, we have examined the provisions of Clause 4.3(f) of Electricity Supply Code 2005 read with Section 50 of the Electricity Act, 2003, which provides for recovery of outstanding dues of electricity supply pertaining to a particular premise and duty of the seller and purchaser of the said premises in this regard. The relevant provisions are reproduced as under:

"f) 3(1)[(i) It will be the duty of the seller and of the purchaser to find out the outstanding electricity dues up to the date of sale, and further that both seller and purchaser will be either/or, jointly and severally liable to pay the outstanding electricity dues/obtain No dues certificate.

(ii) Before sale of a premise is made, the outstanding dues will be cleared and, in the alternative the deed to agreement/sale will specifically mention the outstanding dues and the method of its payment. "Outstanding dues" means all dues pending on a premises including late payment surcharge.

(iii) In case the no-dues certificate is not obtained by the old owner, new owner before purchase of property may approach the licensee for no-dues certificate, by giving the reference of the connection in said premises. The licensee shall either intimate the pending dues, if any, on the premises or issue no dues certificate within 30 working days from the date of application.

(iv) The outstanding dues will be first charge on the assets of the company, and the licensee shall ensure that this is entered in an agreement with new applicant.

(v) The recovery proceedings against the defaulting consumer, and where the defaulting consumer is a company, from the Directors of the company, shall be ensured. Where a financial institution has auctioned the property without consideration to licensees charge on assets, claims may be lodged with the concerned financial institution with diligent pursuance.

(vi) In case the electricity connection to the said premises was given with the consent of house owner, such person shall ensure the payment of all arrears/dues of electricity by the tenant before the tenant vacates the premises.

(vii) However the above conditions shall not apply if inconsistent with the provisions of any higher court order or an order as a consequence to it.

(vii) The application shall be processed by licensee on clearing of dues.

12. The above provisions of Electricity Code, 2005, is clearly inconsistent with the provisions of Section 53 of the I & B Code, 2016 which provides for payment of all debts including financial and operational debt, secured as well as unsecured debts. The Respondent No. 1 in the present case at the most, can be considered secured Operational Creditor as the electricity dues as per the Electricity Act, 2003 is being charged against the property to which electricity connection is provided and hence, the electricity supplying department is entitled to receive pre-CIRP dues as per the provisions of Section 53 only and cannot enforce the same as per the provisions of Clause 4.3(f) of Electricity Supply Code against the Successful Auction Purchaser who bought the said premise against which electricity dues of pre-CIRP period is outstanding, during liquidation process, earlier belonged to a Corporate Debtor before starting of CIRP. Therefore, plea of the Respondent No. 1 cannot be accepted that he should realise the said amount from the Successful Auction Purchaser before providing him electricity connection because claim of the Respondent No. 1 to realise the pre CIRP dues from Successful Auction Purchaser is clearly in conflict with the statutory scheme as laid down in the I & B Code, 2016.

13. Similar issue was dealt in order of Hon'ble NCLAT in the matter of *Eastern Power Distribution Company of Andhra Pradesh Ltd. v. Maithan Alloys Ltd.* (Supra) cited by the counsel of the Applicant No. 1. In this order, Hon'ble NCLAT upheld the decision of NCLT Kolkata bench directing to provide the electricity connection to Successful Auction Purchaser without paying the pre-CIRP electricity dues. Relevant paragraph from the above referred judgment is reproduced below:

"7. The question to be answered in the present Appeal is:

Whether the Respondent No. 1, the Successful Auction Purchaser in the liquidation proceeding of the Corporate Debtor, is liable to pay electricity dues due on the Corporate Debtor both pre-CIRP and during the CIRP?

...

13 When in the IBC proceedings, the Appellant has lodged his claim before the Liquidator pertaining to pre-CIRP dues, the same has to be dealt with as per the provisions of the Code. Pre-CIRP dues of the Appellant have been treated as operational debt and the same required to be paid as per Section 53 of the Code. The payment under Section 53 of all debts including operational debt has to be made in accordance with Section 53. Thus, the Appellant is entitled to receive pre-CIRP dues as per provisions of section 53. Hence, the Appellant cannot be heard in contending that he should realize the said amount from the Successful Auction Purchaser. The claim of the Appellant to realize the pre-CIRP dues from Successful Auction Purchaser is clearly in conflict of the statutory scheme as laid down in the Code.

14. Now, we come to the electricity dues during the CIRP. The said dues are also to be taken care of and paid in accordance with Section 53(1). The electricity consumed by the Corporate Debtor during CIRP period is an insolvency process cost which is also to be paid in accordance with Section 53 Sub-section (1) of the Code. The above is the statutory scheme for payment of all claims including operational debts i.e. claim of the electricity dues pre-CIRP and post-CIRP. When the claim of the creditors of a Corporate Debtor which is gone into liquidation are specifically dealt in the Code, the Appellant cannot be heard to say that it shall realize its pre-CIRP dues and post-CIRP dues from the Successful Auction Purchaser. Accepting the said argument of the Appellant will be clear in derogation of the scheme for payment of creditors of the Corporate Debtor as delineated in the Code.

14. Similar issue of providing electricity connection to Successful Resolution Applicant has been recently dealt by the Hon'ble High Court of Calcutta in order dated 12.07.2022 in case of *West Bengal State Electricity v. Srivasavi Industries Limited* (MAT 646 of 2022) in which also, it has been held that the right of the electricity supplying company to recover the amount which was due prior to the resolution plan, had extinguished on the approval of the resolution plan and the electricity supplying company is now required to provide the electricity connection to the Respondent being Successful Resolution Applicant in terms of Electricity Act, 2003. The said Judgment of High Court reproduced as under:—

"21. Thus, in case of conflict with the State legislation, the

provision of IBC will prevail. Hence, it is clear that the provisions of the IBC will prevail over the State Electricity Regulation.

... ..

23. So far as the argument advanced by the learned counsel for the appellant placing reliance upon the judgment of the Hon'ble Supreme Court in the matter of Indian Young Lawyers Association (supra), Vithaldas Jagannath Khatri (supra) and Commissioner of Income Tax (Central), Calcutta (supra) about enlargement of one fiction by another, this Court finds that on extinguishment of the right to recover, if a duty is cast under the Electricity Act, 2003 to supply the electricity, then the appellant cannot escape from performing the said duty.

... ..

25. Having regard to the above analysis, we find that the right of the appellant to recover the amount which was due prior to the resolution plan had extinguished on the approval of the resolution plan. The appellant is now required to provide the electricity connection to the respondent in terms of the Electricity Act, 2003, hence, learned Single Judge has not committed any error in allowing the writ petition and issuing requisite direction in this regard. We find no error in the order of the learned Single Judge, hence, no case for interference is made out. The appeal is accordingly, dismissed."

15. Relying on the judicial pronouncements as discussed in above para, we hold that right of Paschimanchal Vidyut Vitran Nigam Ltd. to recover outstanding dues of pre-CIRP period is now extinguished due to CIRP process getting completed and liquidation of Corporate Debtor is also done and hence, no pre-CIRP electricity dues can be collected from Applicant No. 1 being Successful Auction Purchaser or Applicant no. 2 in which Applicant no. 1 is a director. If duty is cast under Electricity Act, 2003 to supply electricity then Respondent No. 1 being the electricity supplying company is duty bound to provide electricity connection to Applicant No. 2 in which Applicant No. 1 is director in terms of Electricity Act, 2003.

16. As decided above we direct Respondent No. 1 as under;—

- (i) To complete the documentation with Applicants on the basis of Application dated 28.11.2021 submitted by the Applicant No. 2 in the office of Respondent No. 1 and energise the electricity connection in terms of Electricity Act, 2003 without insisting on the payment of pre-CIRP dues.
- (ii) Applicants shall otherwise complete all the requirement in

terms of Electricity Act, 2003 for getting new electricity Connection.

17. Ordered accordingly and hence, IA No. 219/2022 is hereby disposed off.

[†] Allahabad Bench, Prayagraj

[‡] (An Application under section 60(5) Read With Section 53(1) of the Insolvency and Bankruptcy Code, 2016 and Rule 11 of the NCLT rules, 2016)

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